

The background of the slide is a photograph of two hands holding a large stack of US dollar bills. The bills are fanned out, showing various denominations including \$10 and \$20 bills. The image is overlaid with a semi-transparent blue rectangle that serves as a backdrop for the text.

EQUITY RESEARCH CHALLENGE 2025

TEAM NAME: JPEquity

CATEGORY OF FUND:

BALANCED-ADVANTAGE FUND

WHY?

A **Balanced Advantage Fund (BAF)**, commonly known as Dynamic Asset Allocation Fund, is such an investment option that manages your funds by rotating between equity and debt instruments on the basis of market conditions. A hybrid fund usually invests in both equity and debt, but BAF funds can allocate their equity portion between 0% and 100%.

How Balanced Advantage Funds (BAFs) Work

1. Buy Low, Sell High (Counter-Cyclical)

- Decrease equity when markets are expensive (P/E ratio, Price to Book)
- In cheap markets, increase equity when there is potential for future growth

2. Three Portfolio Buckets

- Equity: Stocks not Hedged for Long-term Growth
- Debt: Bonds for Reliance and Income
- Arbitrage/Hedging: Using Derivatives to hedge risk and retain 65% equity for tax purposes

3. Rebalancing

- Rule-Based: Quant models incorporating valuation ratios (P/E, P/B, yields)
- Manager-Driven: Executional changes based on macro and market dynamics

Advantages of Balanced Approach Fund



Upside
Participation



Downside
Protection



Reduced
Volatility



Professional &
Passive
Management



The "Buy Low,
Sell High"
Advantage



Tax Efficiency

GOAL & STRATEGY OF FUND:

TARGETS!

Strategy Rationale:

The strategy uses a counter-cyclical rule-based approach to asset allocation. The equity portfolio is maximized when valuations are attractive, whereas when markets become overvalued, the portfolio is reduced with allocations of equity capital in debt instruments in order to mitigate risks.

Key Investment Goals:

- Capture upside on equity while managing drawdowns during market corrections.
- Maintain capital by effectively managing risk.
- Deliver inflation-beating returns over a complete market cycle.
- Achieve superior risk-adjusted returns compared to static hybrid benchmarks.

Portfolio Construction:

Equity: Long-term investment in equity without any hedge.

Debt: Fixed Income Investments for Stability and Income.

Arbitrage/Hedging: Derivatives to **Minimize Market Risk** while preserving equity taxation treaty benefits.

Process & Discipline:

The fund uses simple valuation signals (P/E, P/B) to make disciplined allocation decisions and avoid emotional investing. It suits investors with a 3–5+ year horizon who want equity-like returns with smoother ups and downs.

Key Investment Goals



**Upside
Capture**



**Capital
Preservation**



Real Returns



**Risk-Adjusted
Alpha**

RISK QUANTIFICATION & CONSTRAINTS:

SAFE!

Valuation-Based Allocation Framework

When **Nifty 50** valuation lies within the fair value band of **P/E 18–22**, the fund shall maintain a gross equity exposure of **approximately 70%**. The portfolio will focus on unhedged equity positions, supplemented by **equity arbitrage** strategies in order to balance return potential and risk. **Derivative hedging** shall be used only for risk calibration and not for market timing.

Tax Efficiency Constraint (65% Rule)

To be qualified as an equity fund for Indian tax laws, the fund ensures that gross equity exposure, that is, unhedged equity plus hedged derivatives, remains **above 65%** at any point in time.

This allows:

- Equity-like taxation.
- Arbitrage strategies to replace low-yielding debt.
- Higher after-tax compounding.

Risk Quantification Framework (Beta–Volatility Model)

Target Risk Metrics

Metric	Target Range
Portfolio Beta	0.6–0.8
Annual Volatility	8–11%
Drawdown vs Nifty	≤ 60% of index fall

Beta Calibration Using Futures

If the portfolio beta goes above the target, index futures are used to reduce market risk, without selling the actual stocks.

Hedge Ratio =
$$\frac{\beta_{\text{current}} - \beta_{\text{target}}}{\beta_{\text{current}}}$$

This ensures:

- Precision risk control
- No disruption to stock selection
- Low transaction costs

Equity Arbitrage as Stability Anchor

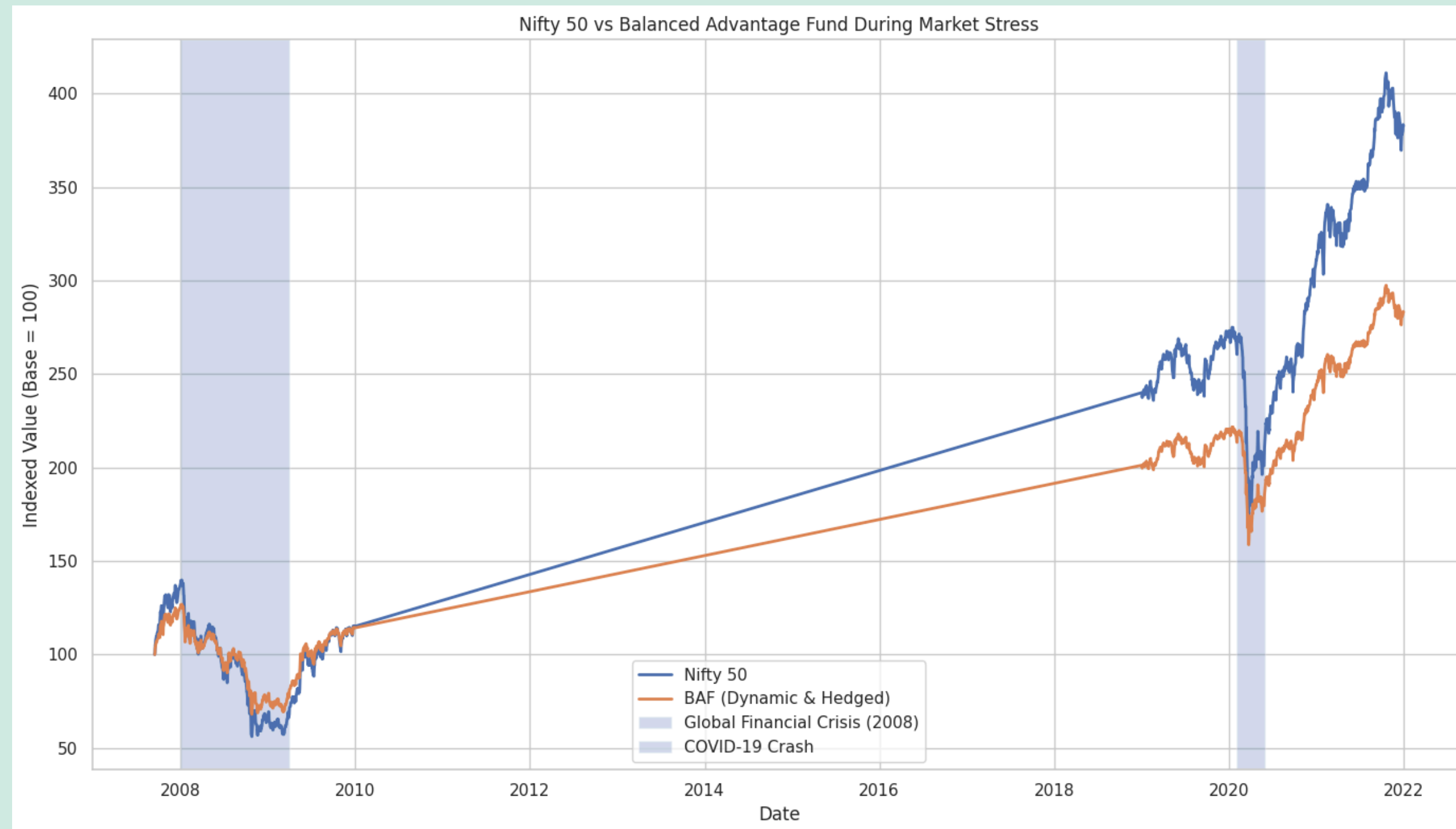
Equity arbitrage involves:

- Buying shares in the cash market
- Simultaneously selling futures on the same stock

This creates:

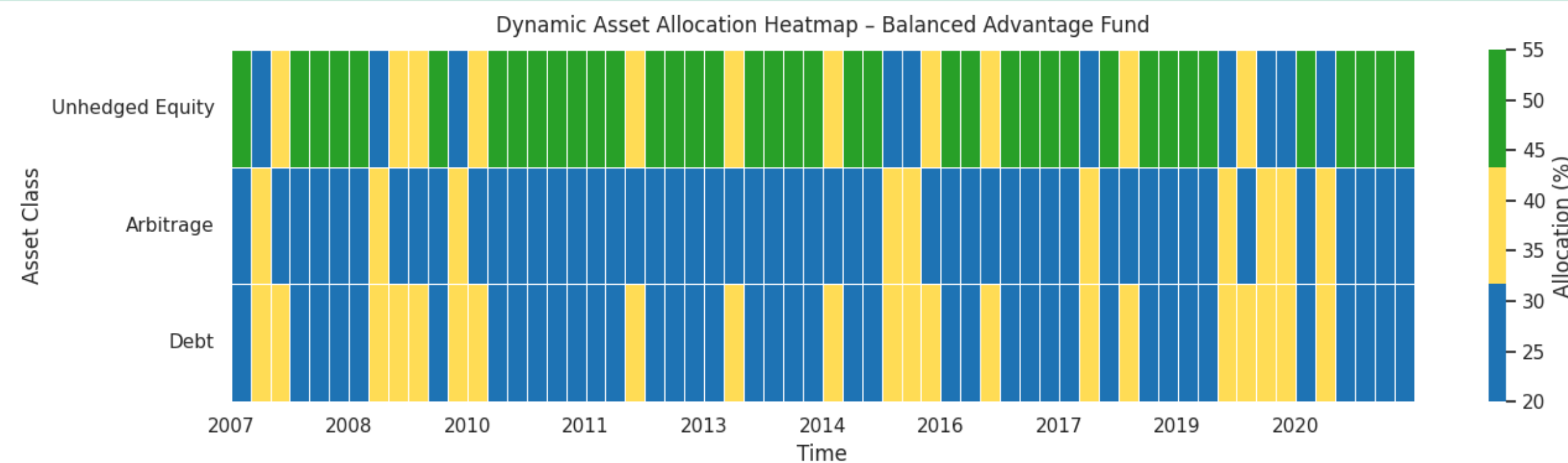
- Near-zero market risk
- Debt-like returns (~6–7%)
- Equity classification for tax purposes

Visualization Framework

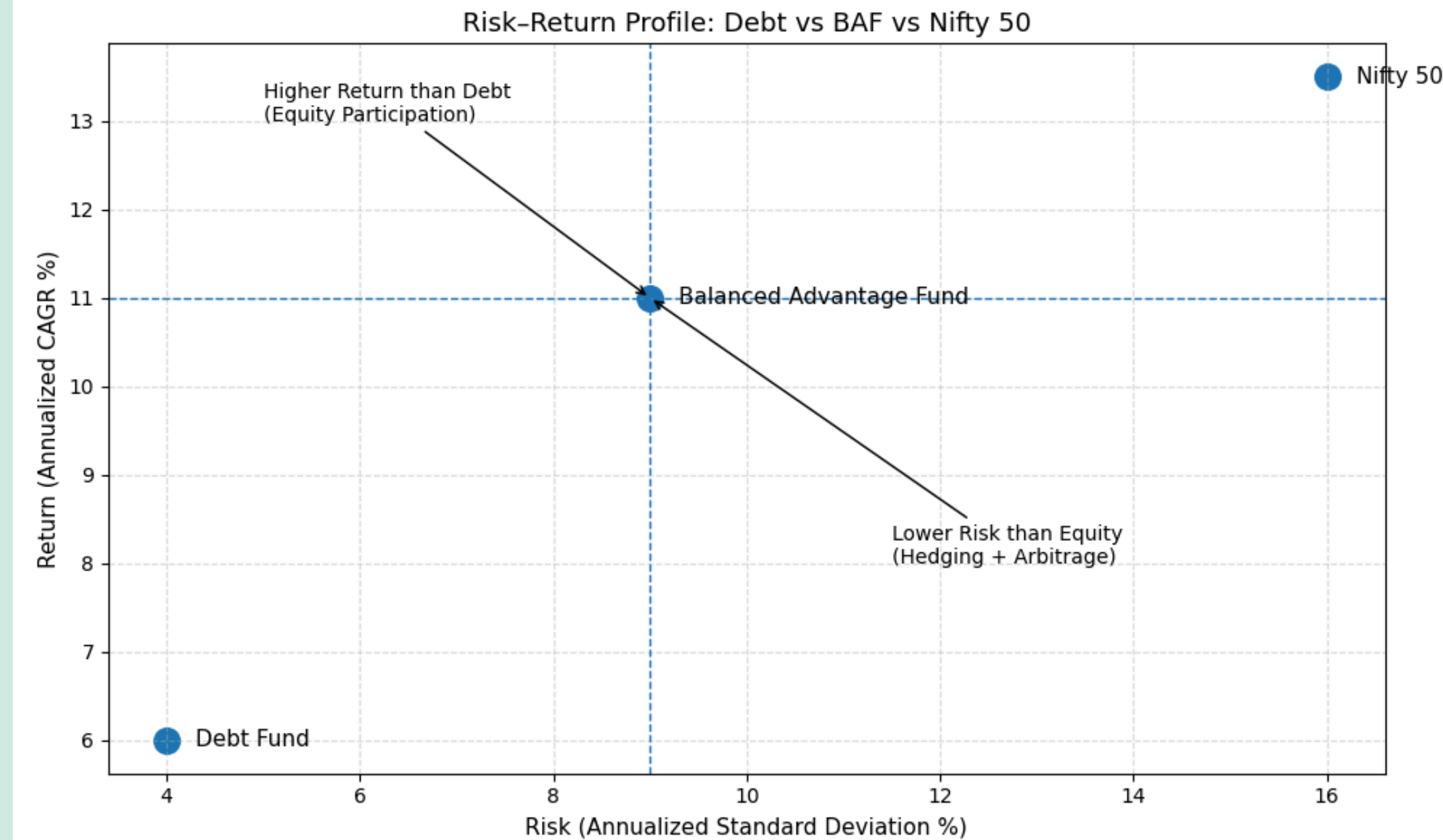


The Balanced Advantage Fund excels in terms of downside protection and return smoothness during stressful markets, besides participating in the upside of equities; therefore, it delivers better risk-adjusted returns than the Nifty 50.

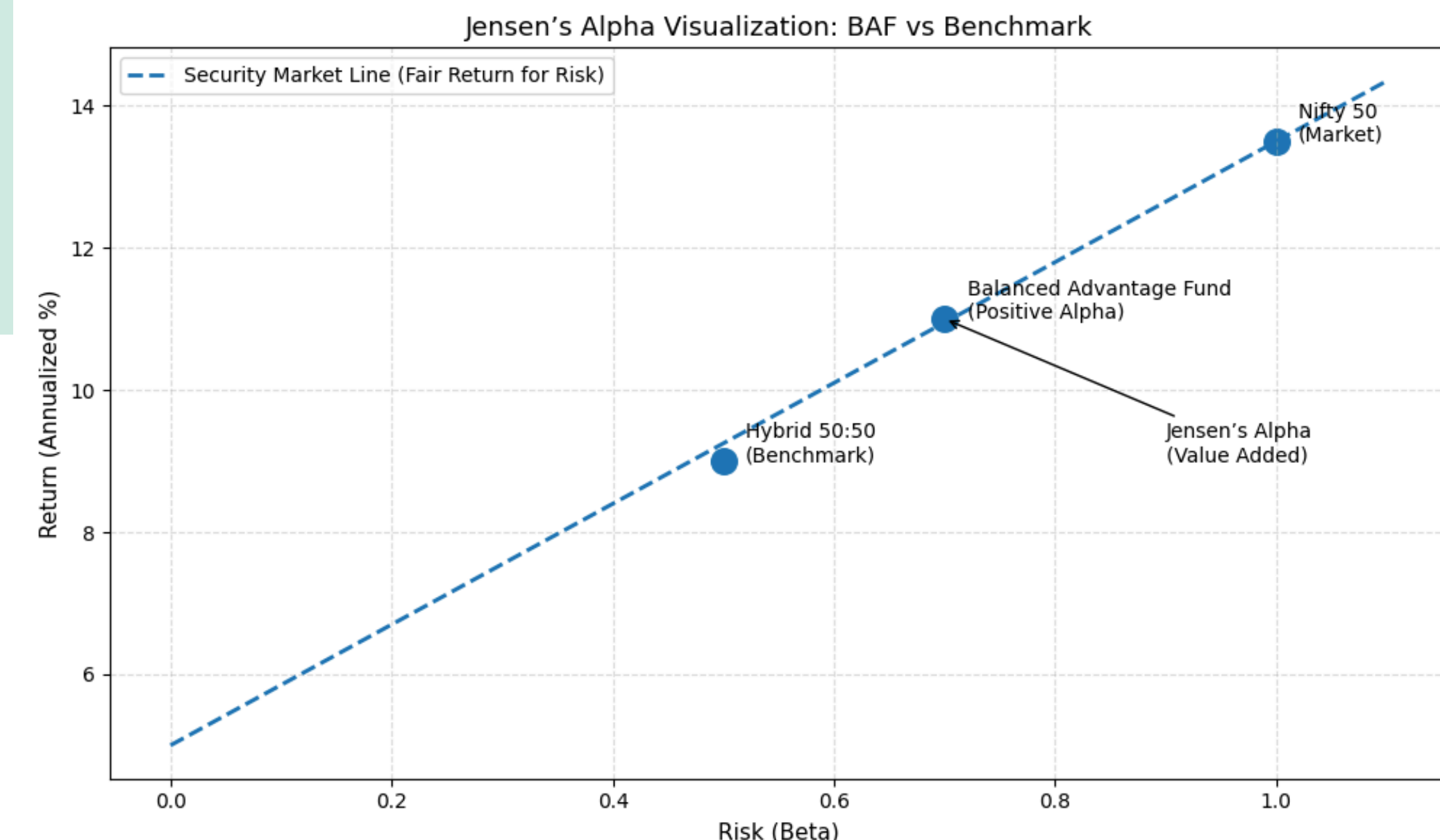
Heatmap



Risk-Return Profile



Jensen's Alpha Visualization



UNIVERSE OF STOCKS FOR BALANCED ADVANTAGE FUND

1. Reliance Industries

Economic MOAT: Reliance's edge lies in low costs and a strong ecosystem. Its O2C (Oil to Chemical) business provides steady cash flows, while Jio's 500+ million users create high switching costs, giving RIL a durable competitive advantage.

PESTEL Alignment: Strategically aligned with the Hydrocarbon Exploration and Licensing Policy (HELP) and the push for energy independence.

Financial Forensic Analysis

Earnings Quality: RIL has strong cash discipline, with a 5-year average CFO/PAT of 1.45, showing cash generation exceeds reported profits.

Cash Flow Conversion: A negative CCC of -51.23 days allows RIL to fund operations through supplier credit.

ROE Sustainability (DuPont): FY25 ROE is 8.40%, with ~5% margins, low leverage (net-debt-to-EBITDA 0.64x), and growth driven by retail and digital capex.

ESG & Governance Audit: Targeting a 25% reduction in internal energy costs via green hydrogen and solar projects. Governance remains robust with a clear succession plan.

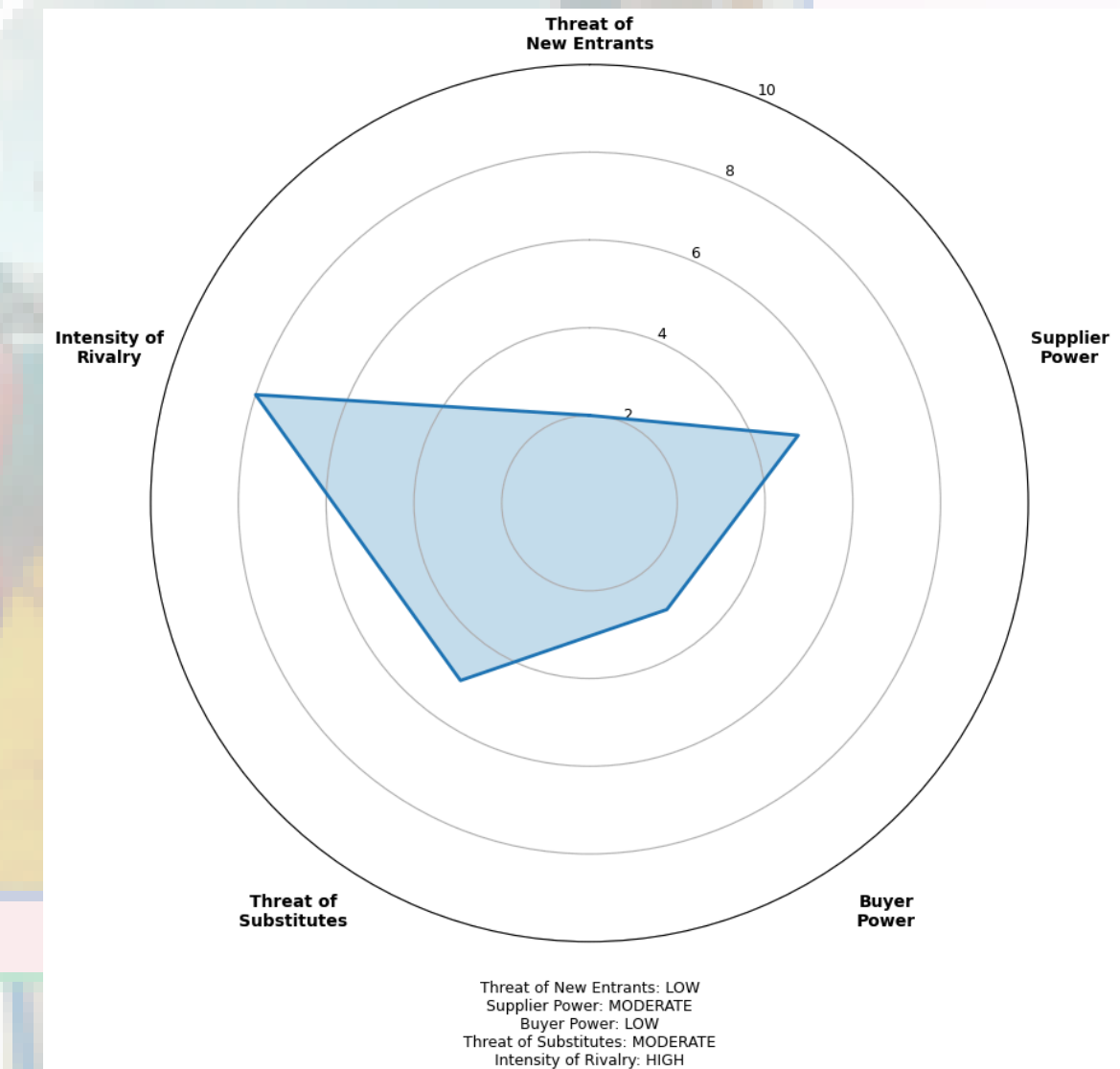
Piotroski's F-Score: 4 (Stable profitability, but weakening asset efficiency)

Altman Z-Score: 3.04 (Close to grey zone, monitor elevated project debt)

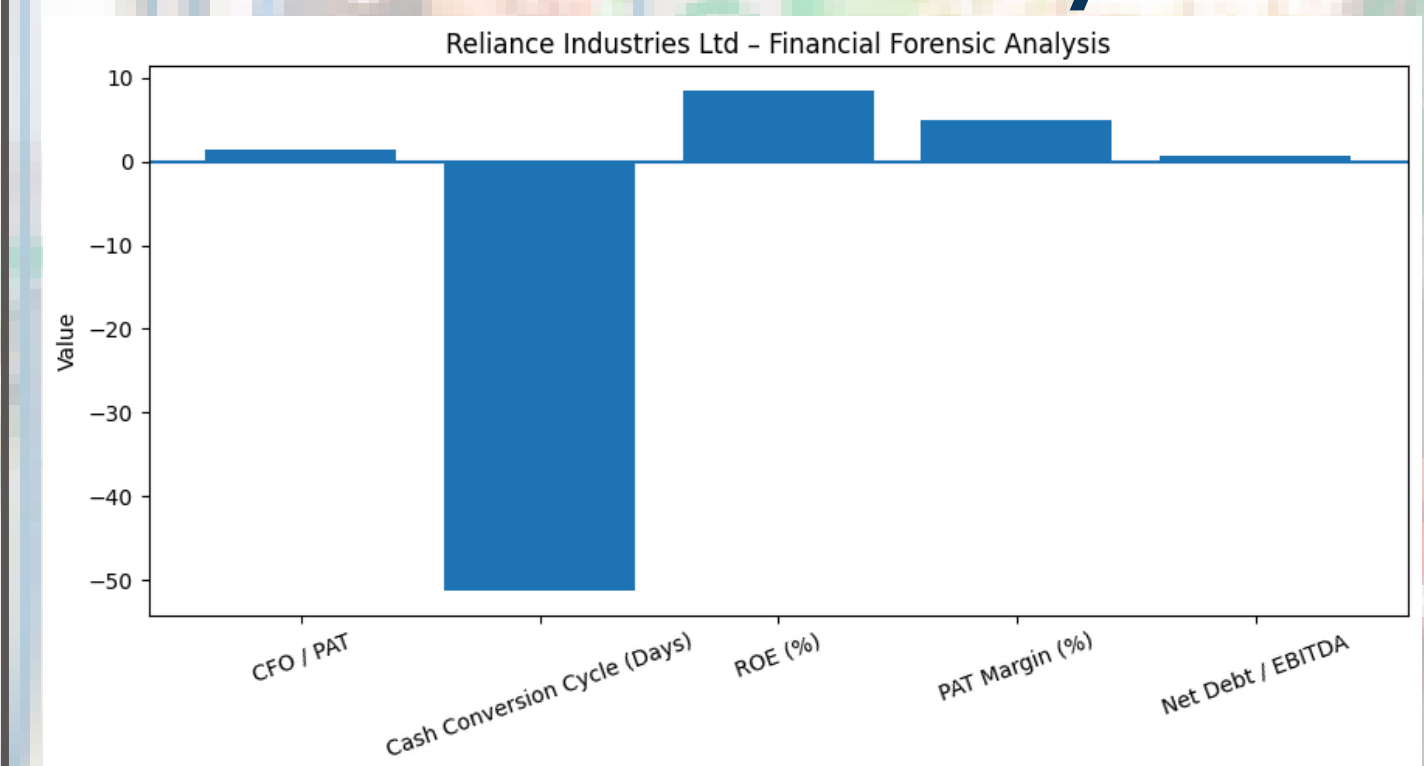
Graham Factor: 2 (Market price well above conservative fair value)

Monte-Carlo Prediction for 2026 fiscal cycle: Hold

Porter's 5 forces



Financial Analysis



2. Indian Hotels Company Limited

Economic MOAT: IHCL possesses a significant "Brand Equity" moat through "Taj," named the World's Strongest Hotel Brand in 2025.

PESTEL Alignment: Beneficiary of the "National Tourism Policy" and infrastructure status for tourism projects.

Financial Forensic Analysis

Earnings Quality: Moving to an asset-light model (95% of new signings) boosts free cash flow and lowers the risk of aggressive expense capitalization.

Cash Flow Conversion: While CCC isn't disclosed, the management-contract model has pushed the company into a net-cash position, with ₹2,850 crore in gross cash as of HIFY26.

ROE Sustainability (DuPont): FY25 ROE is 15.2%, driven by a strong RevPAR premium of 70%+ over peers, lifting margins without heavy capital investment.

ESG & Governance Audit: 43 hotels operate on 100% green energy. Governance is rated "Positive" by the 3R (Rights, Responsibilities, Reporting) Matrix.

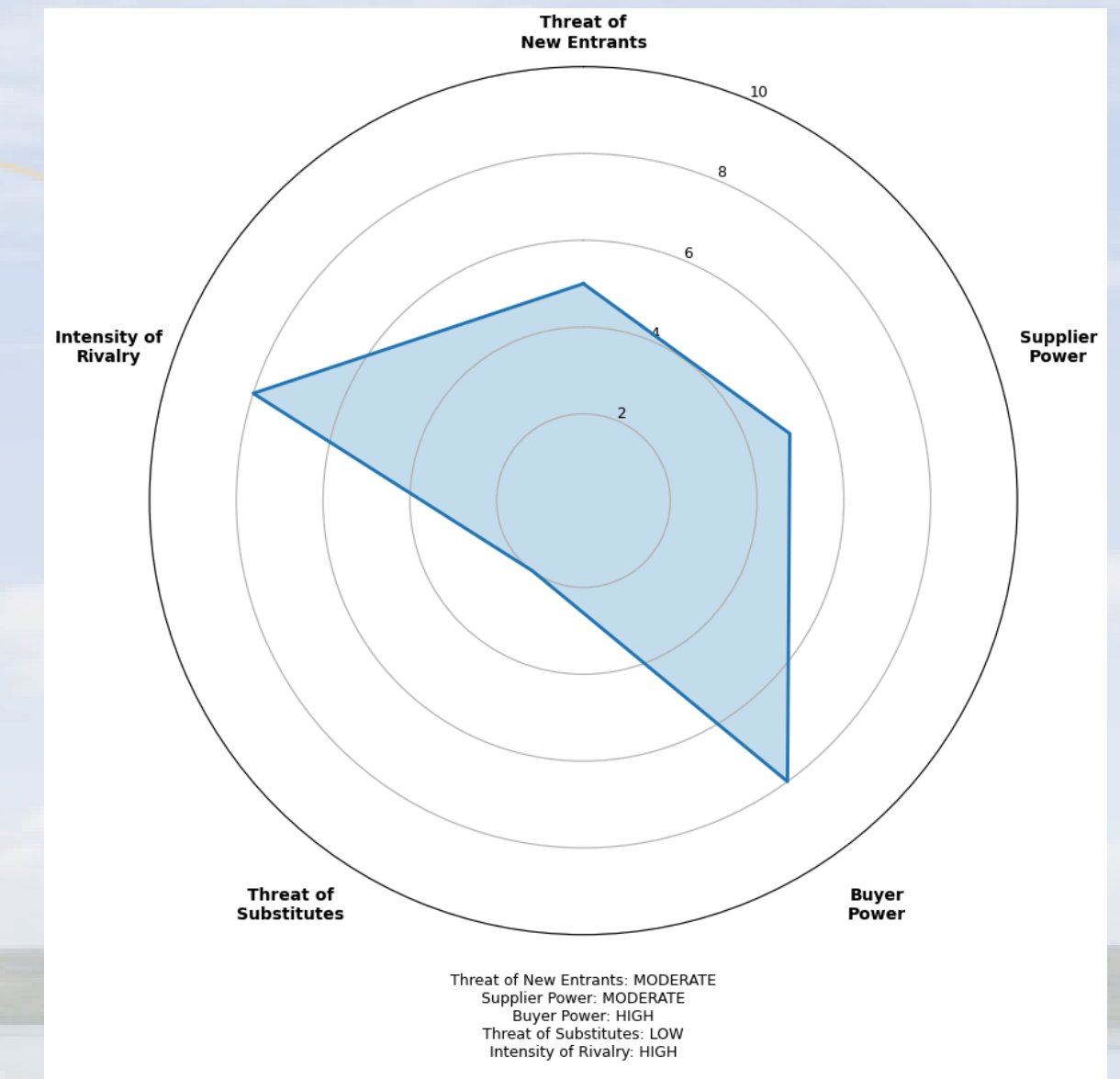
Piotroski's F-Score: 9 (High score signals strong efficiency and profit recovery)

Altman Z-Score: 11.2 (High score indicates a very safe and solvent position)

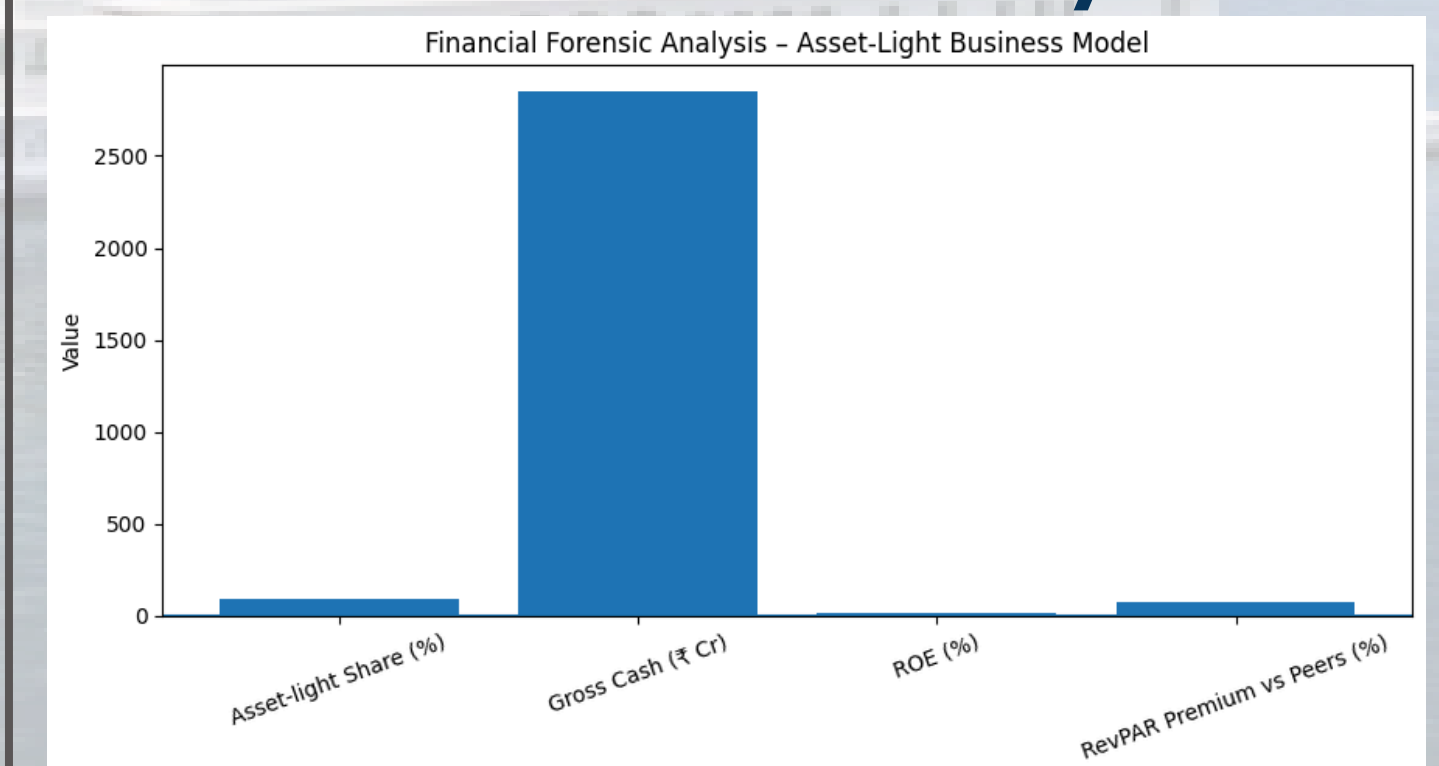
Graham Factor: 3 (Market price well above conservative fair value)

Monte-Carlo Prediction for 2026 fiscal cycle: Buy

Porter's 5 forces



Financial Analysis



3. Hindustan Unilever Limited

Economic MOAT: HUL's moat is its "Ubiquitous Distribution" and "Multi-Category Dominance," reaching 9 out of 10 Indian households.

PESTEL Alignment: Leveraging premiumization trends and digitized demand capture via the Shikhar app (1.4 million+ retailers).

Financial Forensic Analysis

Earnings Quality: HUL delivers strong-quality earnings, with 97% of its operations powered by renewable energy, which helps shield margins from energy price swings.

Cash Flow Conversion: It runs an exceptional Cash Conversion Cycle of -56.58 days (as of March 2025), meaning suppliers effectively finance its working capital.

ROE Sustainability (DuPont): FY25 ROE stands at 21.21%, driven mainly by high asset turnover rather than leverage, as HUL generates strong sales from a relatively light asset base.

ESG & Governance Audit: Best-in-class ESG ratings; recognised as the #1 Employer of Choice across sectors.

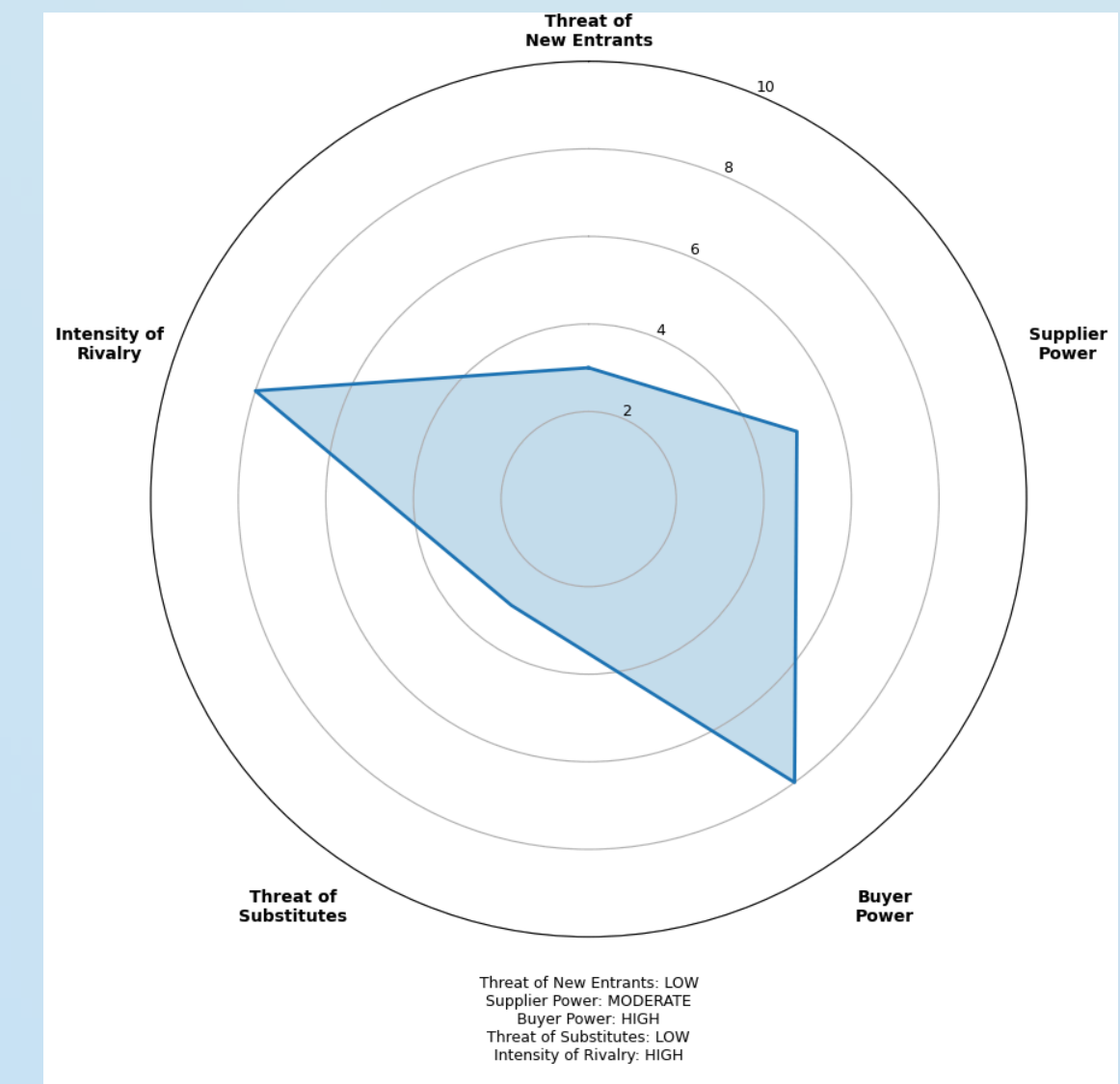
Piotroski's F-Score: 6 (Consistently strong profitability and efficiency)

Altman Z-Score: 13 (Exceptionally high score denotes virtually zero insolvency risk)

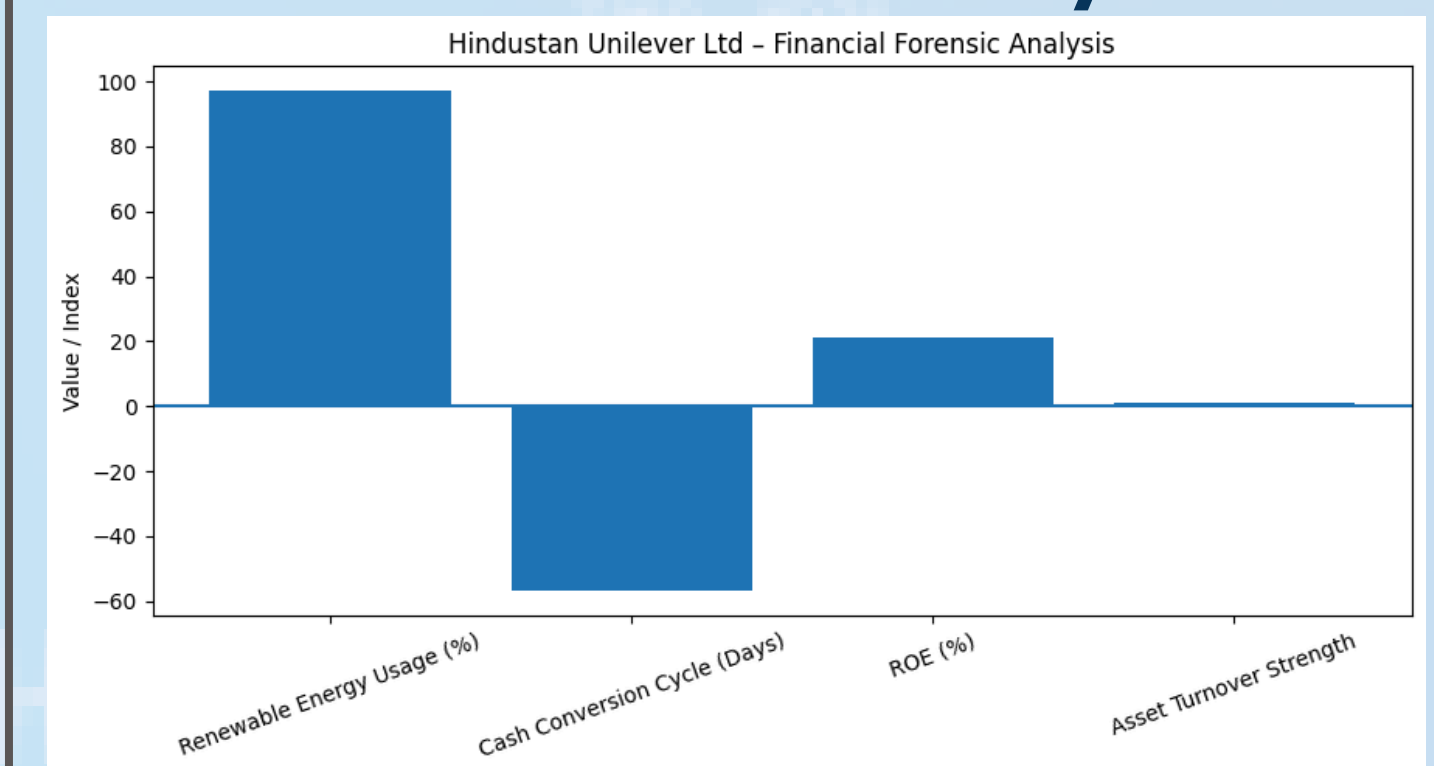
Graham Factor: 4 (Market trades at a large premium to asset value)

Monte-Carlo Prediction for 2026 fiscal cycle: Buy

Porter's 5 forces



Financial Analysis



4. Varun Beverages Limited

Economic MOAT: VBL's moat is "Exclusive Territorial Rights" and "Scale Efficiency" as a primary PepsiCo franchisee.

PESTEL Alignment: Beneficiary of 100% FDI liberalization in the beverage sector effective early 2025.

Financial Forensic Analysis

Earnings Quality: Strong volume-led growth (15.5% in India) and backward integration help keep costs low and earnings reliable.

Cash Flow Conversion: CCC stood at 95.69 days in Sep 2025, reflecting inventory-heavy bottling, partly offset by a strong retail network.

ROE Sustainability (DuPont): FY25 ROE is 18.2%, driven by healthy margins and efficient asset use, not high leverage.

ESG & Governance Audit: Committed to 100% PET (Polyethylene Terephthalate) bottle recycling and 2.0x water recharge by 2025.

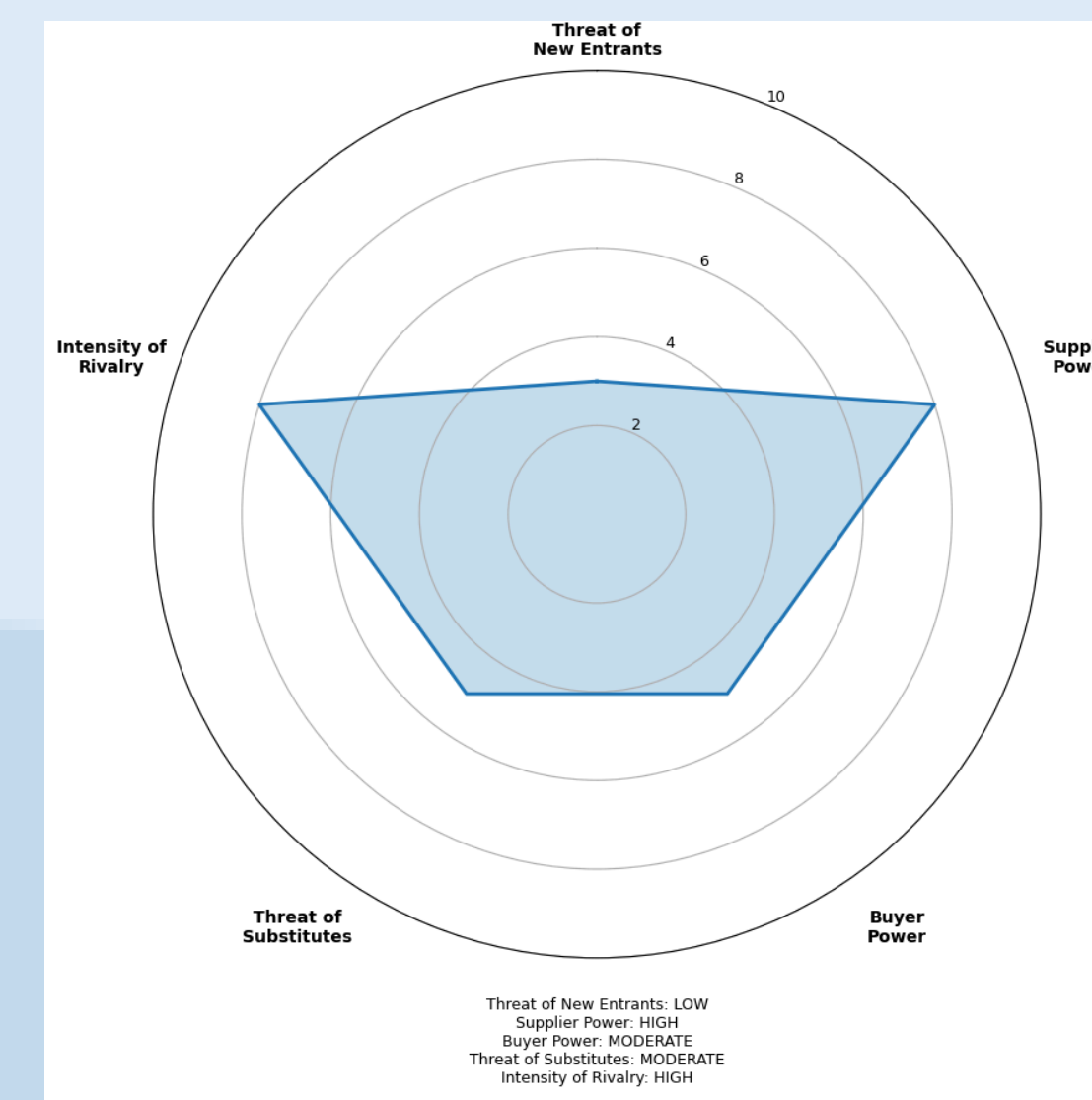
Piotroski's F-Score: 6 (Strong financial health with high profit growth)

Altman Z-Score: 13.4 (High score signals strong solvency and market confidence)

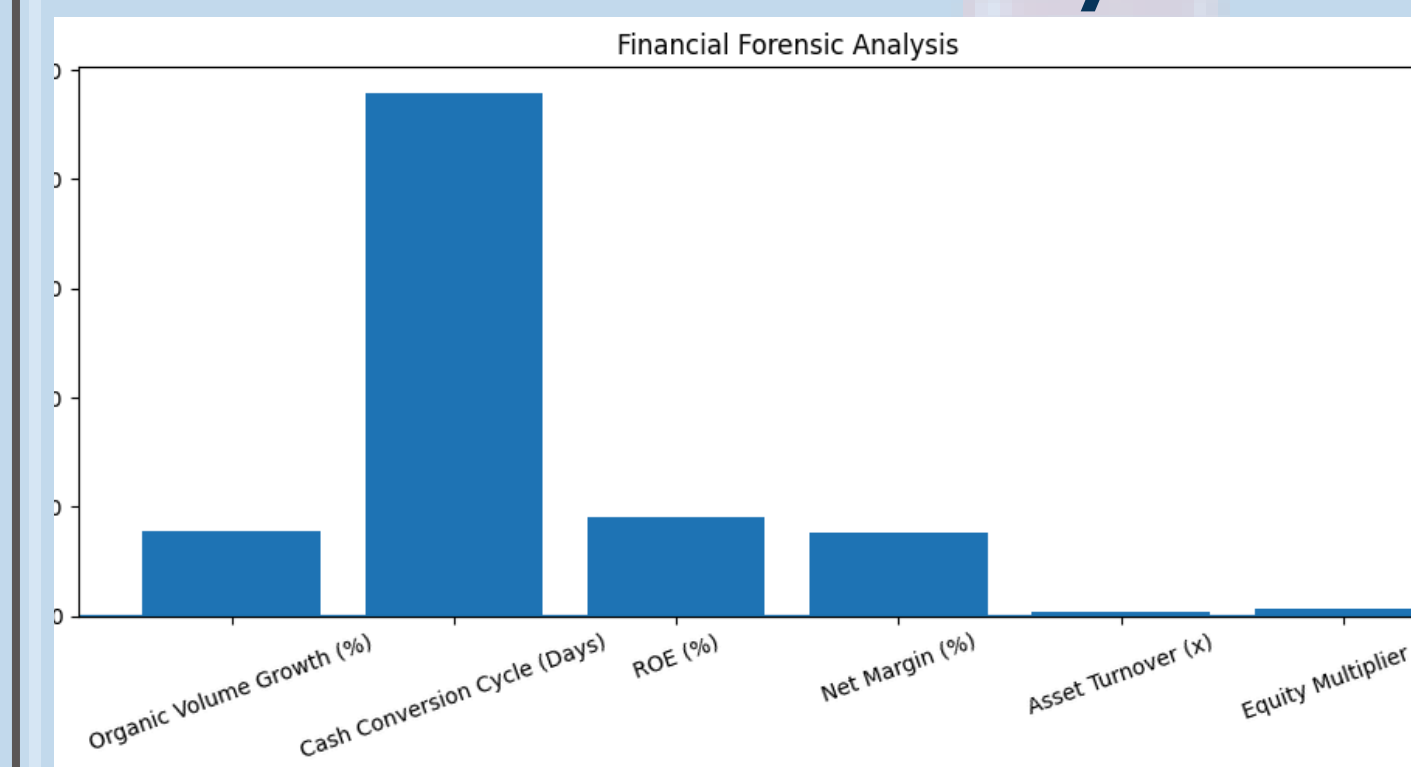
Graham Factor: 5 (Stock appears highly overvalued on Graham metrics)

Monte-Carlo Prediction for 2026 fiscal cycle: Buy

Porter's 5 forces



Financial Analysis



5. Titan Company Limited

Economic MOAT: Titan's moat is "Trust" and "Design Superiority" in an organized jewelry market.

PESTEL Alignment: Impacted by a 15% gold import duty but benefits from the GST formalization of retail.

Financial Forensic Analysis

Earnings Quality: Titan manages inventory efficiently with a turnover of 1.69x and uses gold-on-lease arrangements to reduce exposure to gold price swings, keeping earnings stable and operationally driven.

Cash Flow Conversion: Even after a sharp 20% rise in gold prices in Q1FY25, tight inventory control kept liquidity comfortable, with a healthy current ratio of 1.26x.

ROE Sustainability (DuPont): Annualized ROE for Sep 2025 was an impressive 34.99%. This is supported by solid margins, efficient asset use, and scale leadership in branded jewelry rather than financial engineering.

ESG & Governance Audit: High transparency scores; board recently appointed independent directors like Shalini Kapoor.

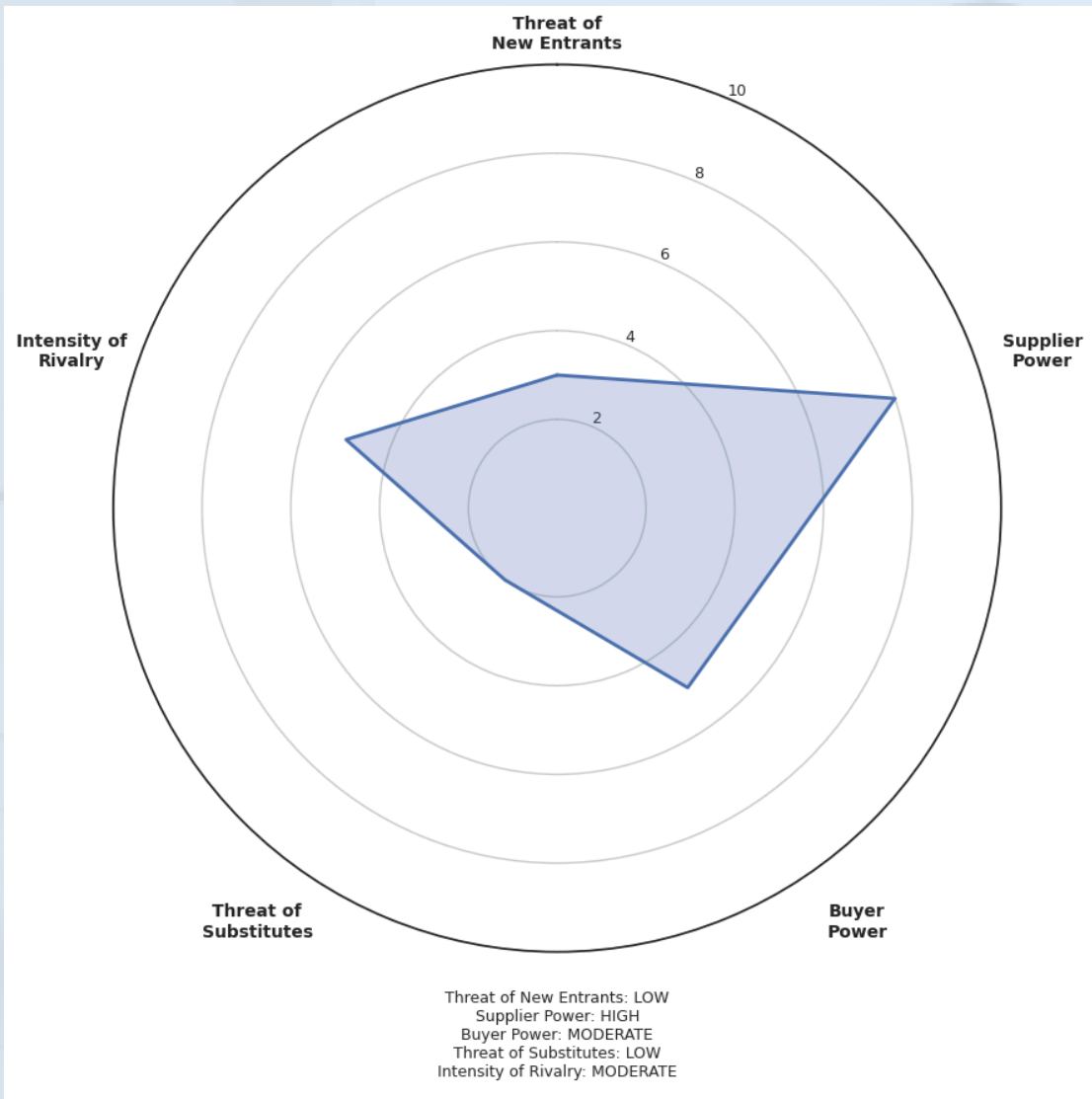
Piotroski's F-Score: 3 (Exceptional profitability and efficiency drive a flawless position)

Altman Z-Score: 13.3 (Exceptionally high score signals a very safe structure)

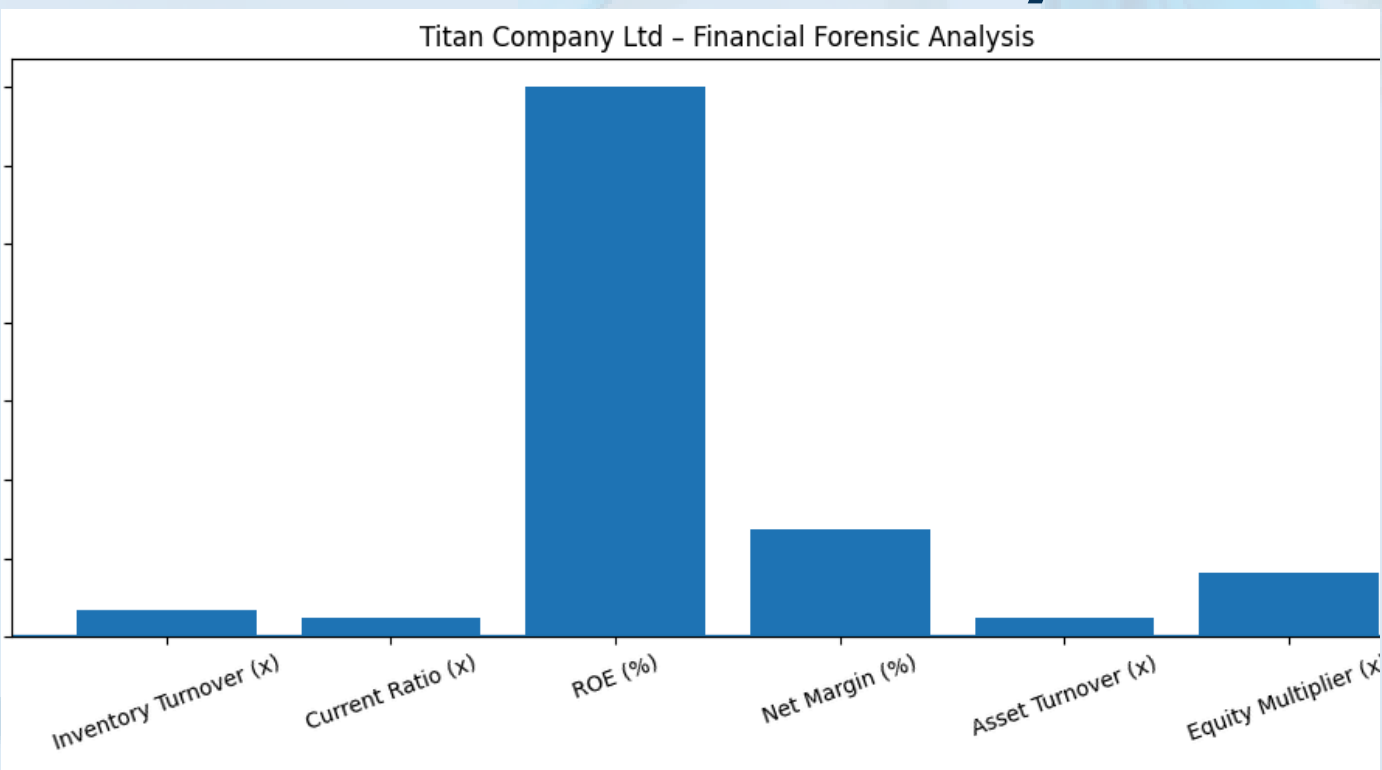
Graham Factor: 4 (Extreme premium reflects brand strength over assets)

Monte-Carlo Prediction for 2026 fiscal cycle: Strong Buy the Quarter and Half-year ended September 30, 2025

Porter's 5 forces



Financial Analysis



6. ICICI Bank Limited

Economic MOAT: The bank's moat is "Digital Distribution" and a "Granular Liability Base," with a CASA (Current Account Savings Account) ratio of ~40.9%.

PESTEL Alignment: Beneficiary of RBI's stable policy environment and India's accelerating credit cycle (15.7% growth).

Financial Forensic Analysis

Earnings Quality: The bank shows excellent asset quality, with Net NPAs (Non Performing Assets) at just 0.39% and a strong PCR (Provisioning Coverage Ratio) of 76.2%, meaning profits carry very little hidden credit risk.

Cash Flow Conversion: Improved working capital discipline has reduced requirements from 88.8 days to 66.0 days, strengthening overall liquidity.

ROE Sustainability (DuPont): FY25 ROE stands at 17.8%, supported by a healthy ROA of 2.4% and tight cost control (cost-to-income ~38.6%), not excessive leverage.

ESG & Governance Audit: 8 Independent Directors out of 12; rated "**Strong**" by CRISIL ESG.

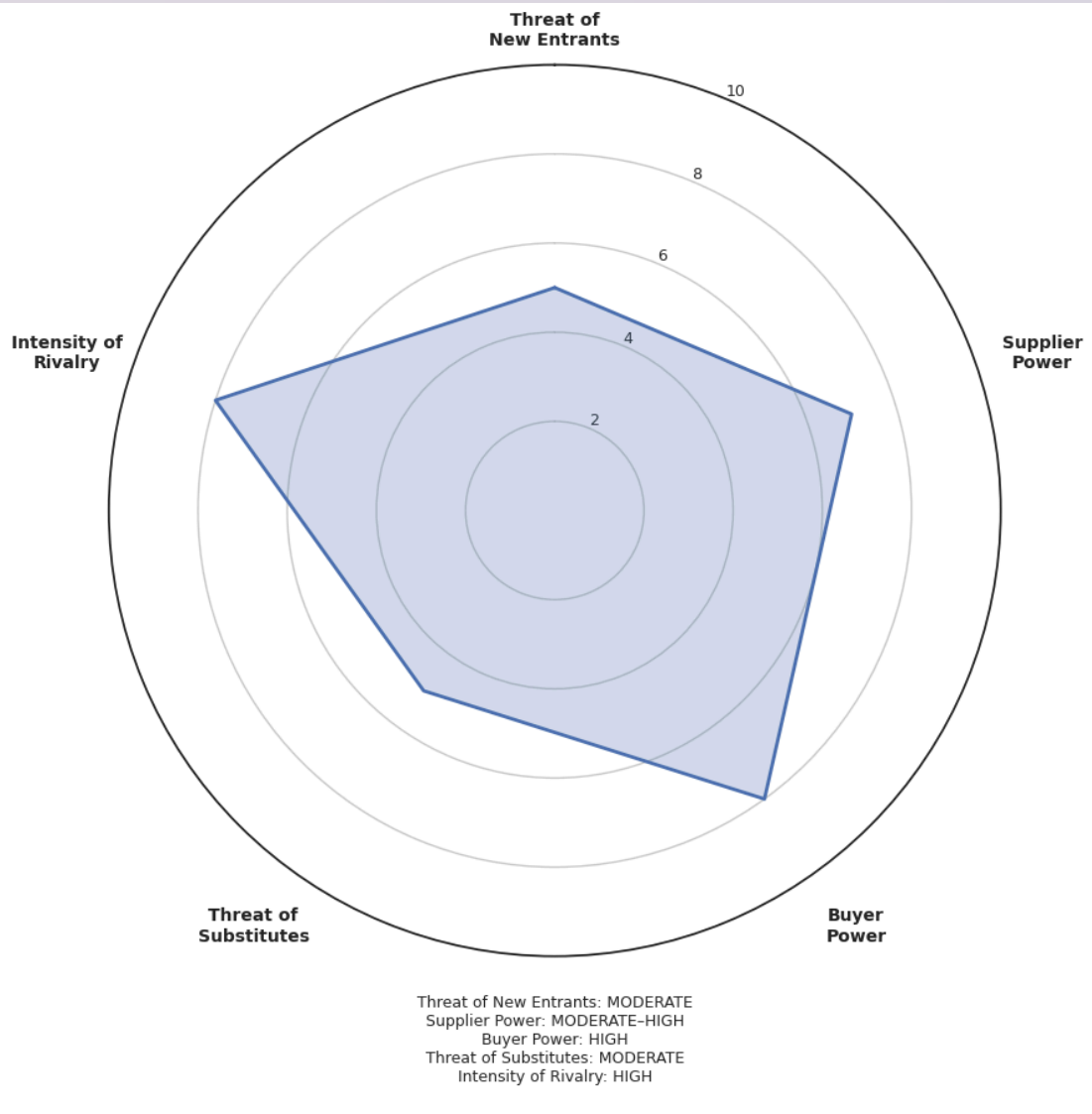
Piotroski's F-Score: 5 (High score shows strong assets and steady profitability)

Altman Z-Score: 1.08 (Safe zone signals strong capital and solvency)

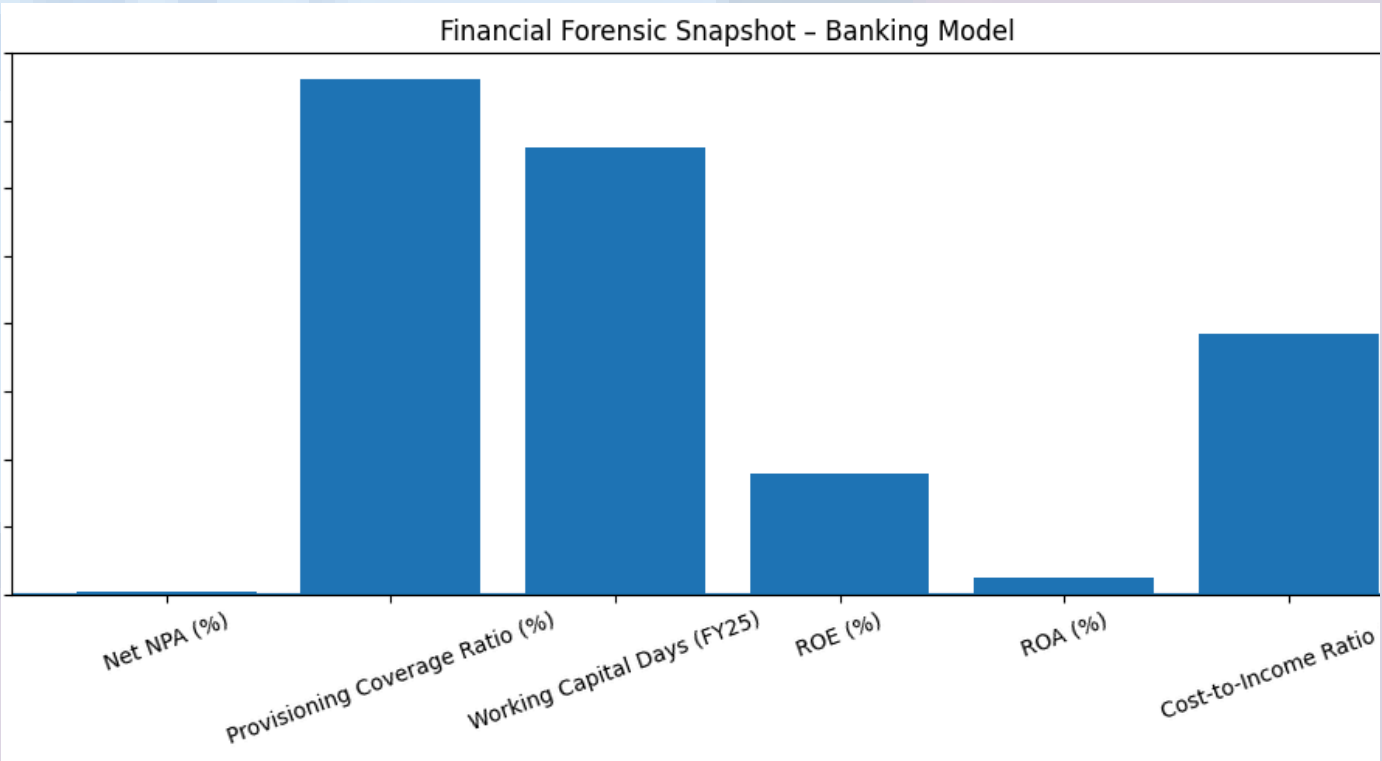
Graham Factor: 4 (Fair premium for a high-performing private bank)

Monte-Carlo Prediction for 2026 fiscal cycle: Strong Buy

Porter's 5 forces



Financial Analysis



7. Hindustan Aeronautics Limited

Economic MOAT: HAL's moat is "Strategic Criticality" as a monopolistic supplier for major aircraft platforms.

PESTEL Alignment: Central to "Aatmanirbhar Bharat"; \$76.6 billion defense spending creates multi-year revenue visibility.

Financial Forensic Analysis

Earnings Quality: Revenue is booked as projects hit milestones. Despite a huge ₹2.7 lakh crore order book, growth is only 8% due to long execution cycles, leading to uneven but high-margin earnings.

Cash Flow Conversion: Execution delays remain a concern—liquidated damages cut operating margins by 400 bps in FY25, underscoring the need for faster project delivery.

ROE Sustainability (DuPont): FY25 ROE is 26%, driven mainly by strong margins (~25%). As execution improves, margins are likely to ease toward ~20% by FY28.

ESG & Governance Audit: Invests 8.25% of turnover in R&D; paid significant dividends (₹2,675 crore in FY25).

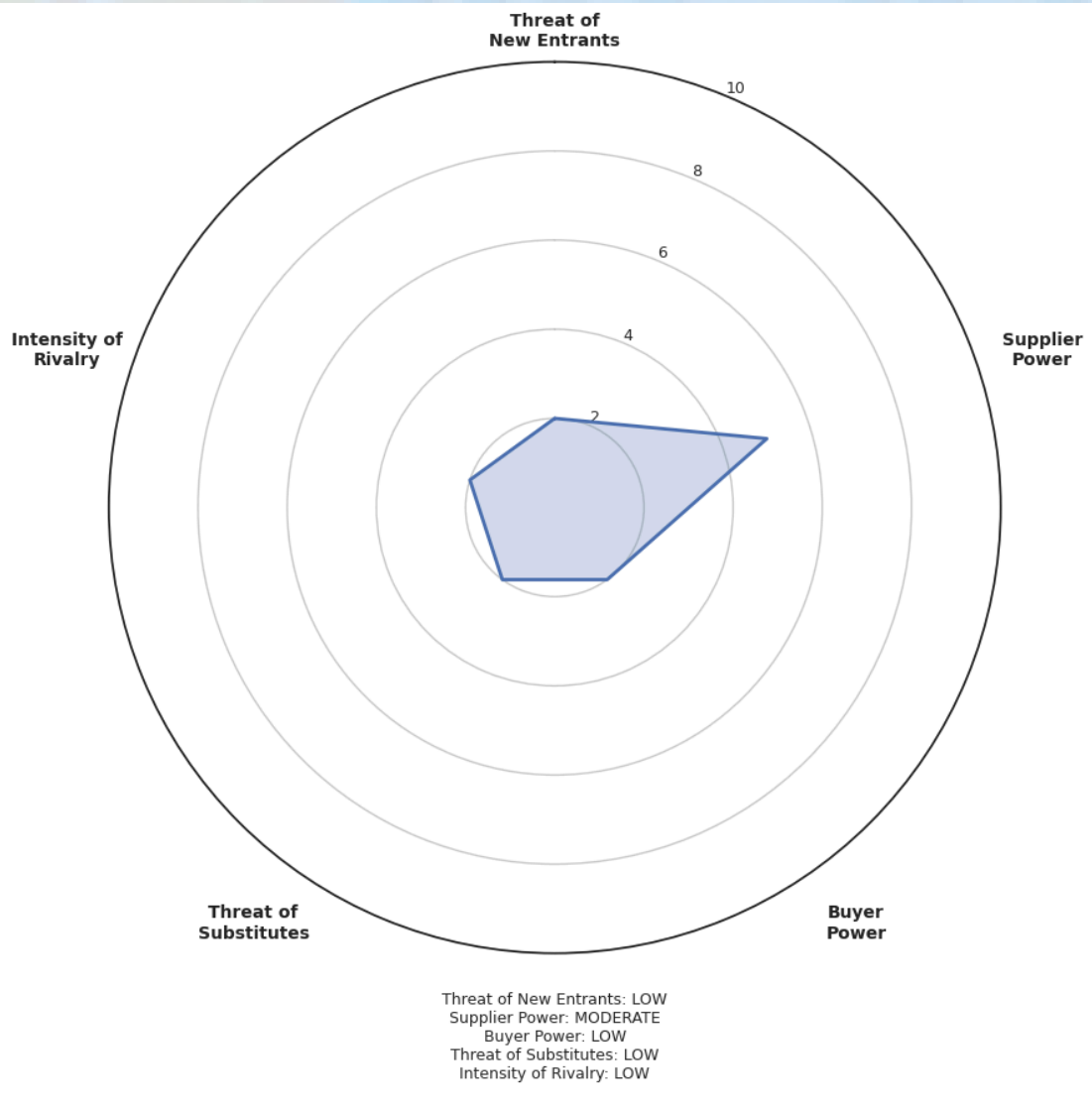
Piotroski's F-Score: 7 (Strong finances backed by major debt reduction)

Altman Z-Score: 5.39 (Safe zone reflects zero debt and high solvency)

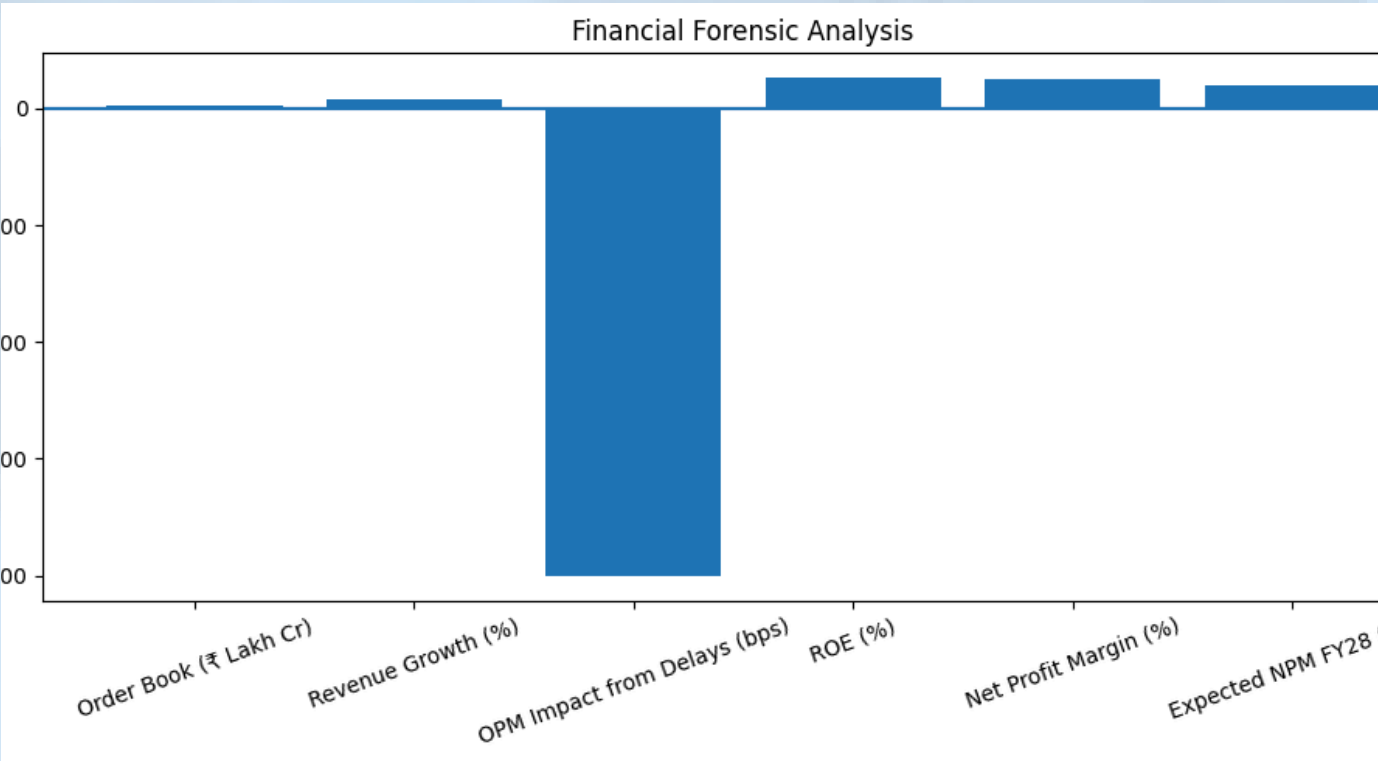
Graham Factor: 3 (Premium justified by strategic defense dominance)

Monte-Carlo Prediction for 2026 fiscal cycle: Buy

Porter's 5 forces



Financial Analysis



8. Larsen & Toubro (L&T)

Economic MOAT: L&T's moat is its "Execution Capability" and "Technological Sophistication" in handling "Ultra-Mega" projects.

PESTEL Alignment: Beneficiary of India's ₹110 lakh crore infrastructure spending plan.

Financial Forensic Analysis

Earnings Quality: The company shows strong cash discipline, with a CFO/PAT ratio of 1.12, meaning profits are well supported by real cash inflows.

Cash Flow Conversion: It operates with exceptional efficiency, posting a Cash Conversion Cycle of -115.68 days—the best among construction peers.

ROE Sustainability (DuPont): FY25 ROE stands at 15.97%, backed by low leverage (net-debt-to-equity of 0.31x) and a record ₹5.79 trillion order book that provides clear revenue visibility.

ESG & Governance Audit: Ranked #2 globally among Top 200 Environment Firms; issued India's first ESG bond.

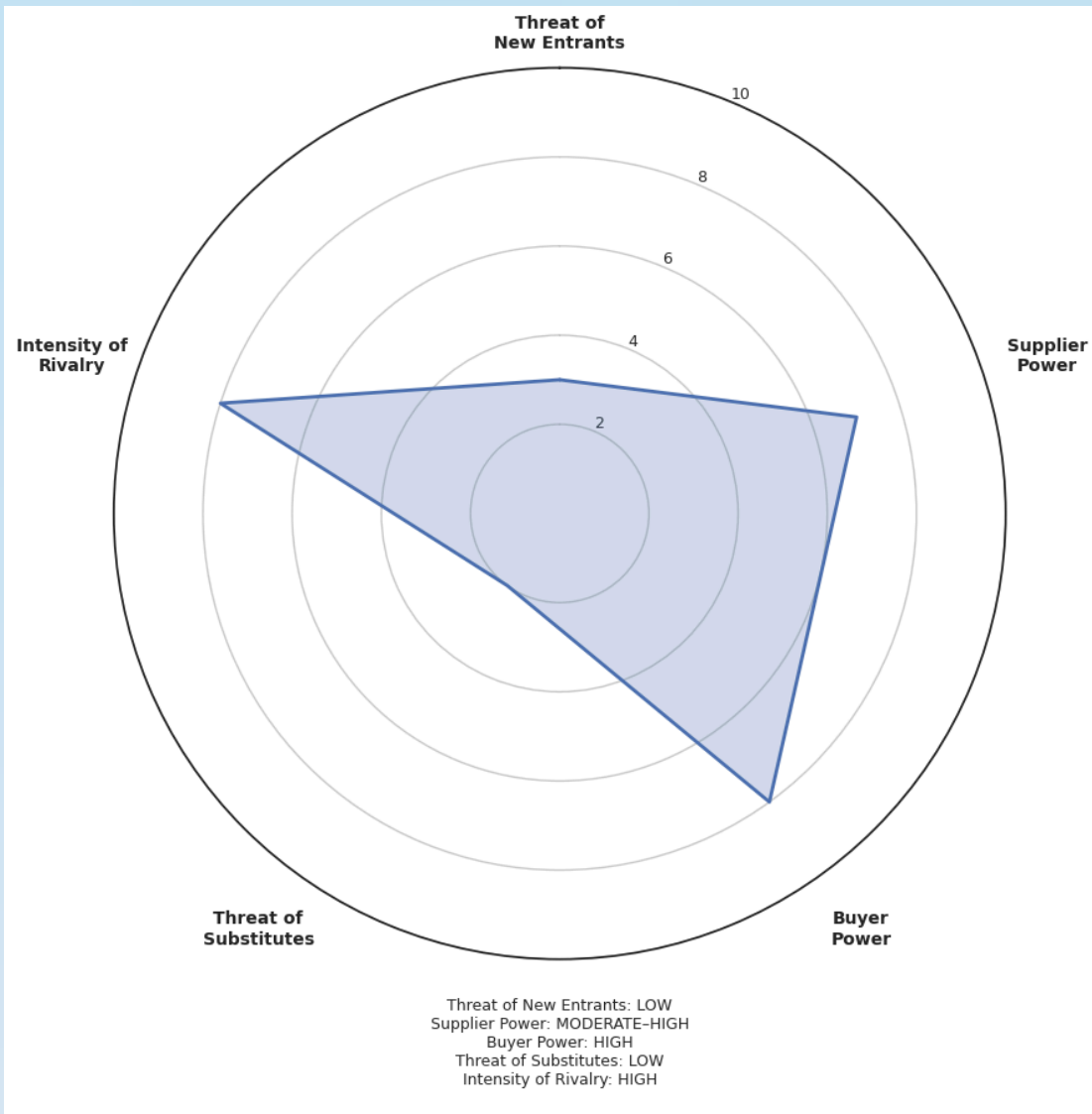
Piotroski's F-Score: 5 (Moderate score shows healthy operations but high capital intensity)

Altman Z-Score: 3.85 (Borderline safe score shows manageable project liabilities)

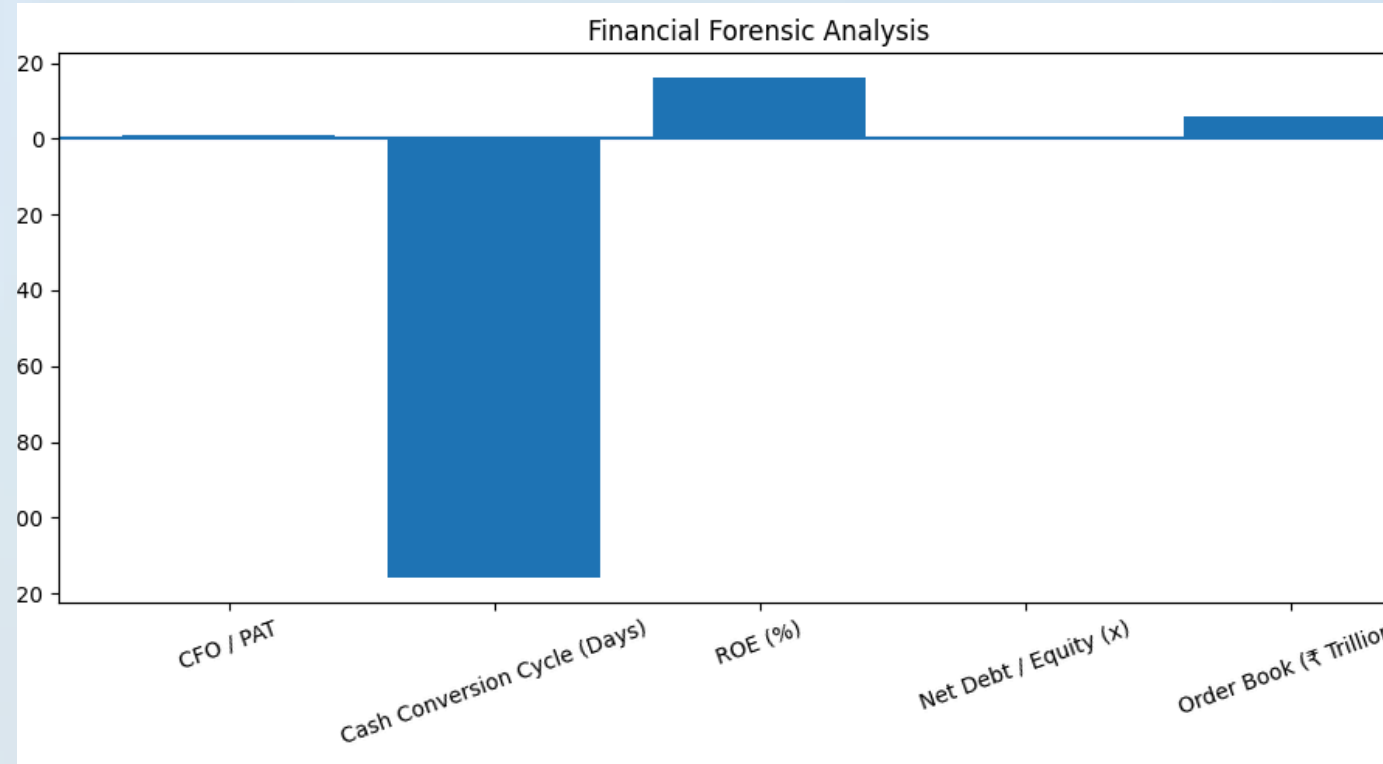
Graham Factor: 2 (Premium reflects high execution expectations)

Monte-Carlo Prediction for 2026 fiscal cycle: Neutral

Porter's 5 forces



Financial Analysis



9. TVS Motor Company Limited

Economic MOAT: TVS's moat is "Innovation" and "Premium Brand Positioning," particularly in the EV transition.

PESTEL Alignment: Key beneficiary of the PLI (Production Linked Incentive) scheme for EVs; iQube model reached 76,000 unit sales in Q4FY25.

Financial Forensic Analysis

Earnings Quality: Despite ₹4,000 crore investment in new technologies temporarily pressuring free cash flow, net profit grew a strong 34% YoY, reflecting healthy core operations.

Cash Flow Conversion: An industry-leading negative CCC of -58 days highlights exceptional operational efficiency and supplier-funded growth.

ROE Sustainability (DuPont): FY25 ROE stands at 15.97%, backed by low leverage (net-debt-to-equity of 0.31x) and a record ₹5.79 trillion order book that provides clear revenue visibility.

ESG & Governance Audit: Promoter group holds 50.3% stake; company is a leader in EV adoption with ₹3,364 Cr EV revenue in FY25.

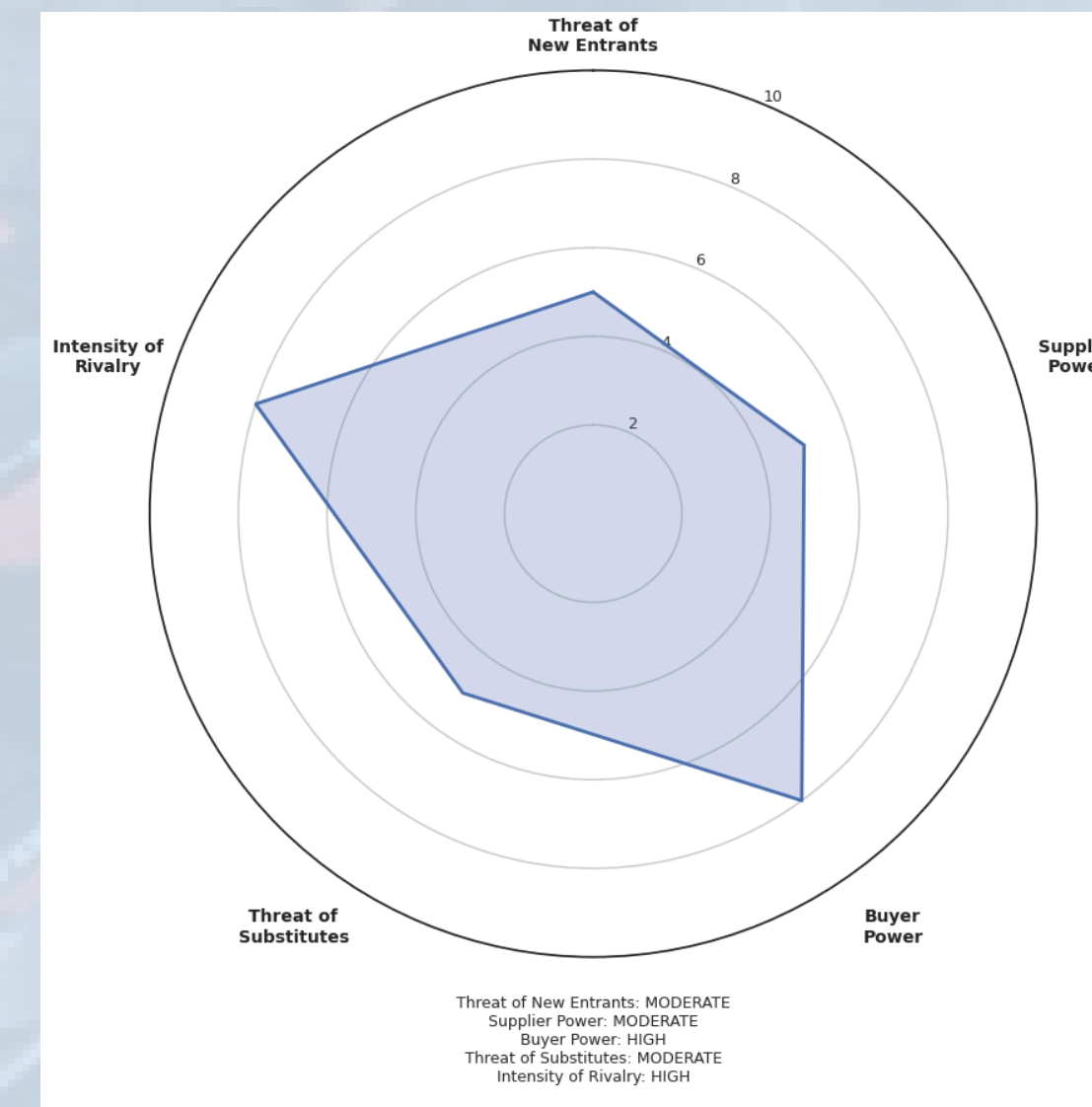
Piotroski's F-Score: 8 (High score reflects exceptional profitability and margin gains)

Altman Z-Score: 7.24 (Strong score signals high resilience and financial safety)

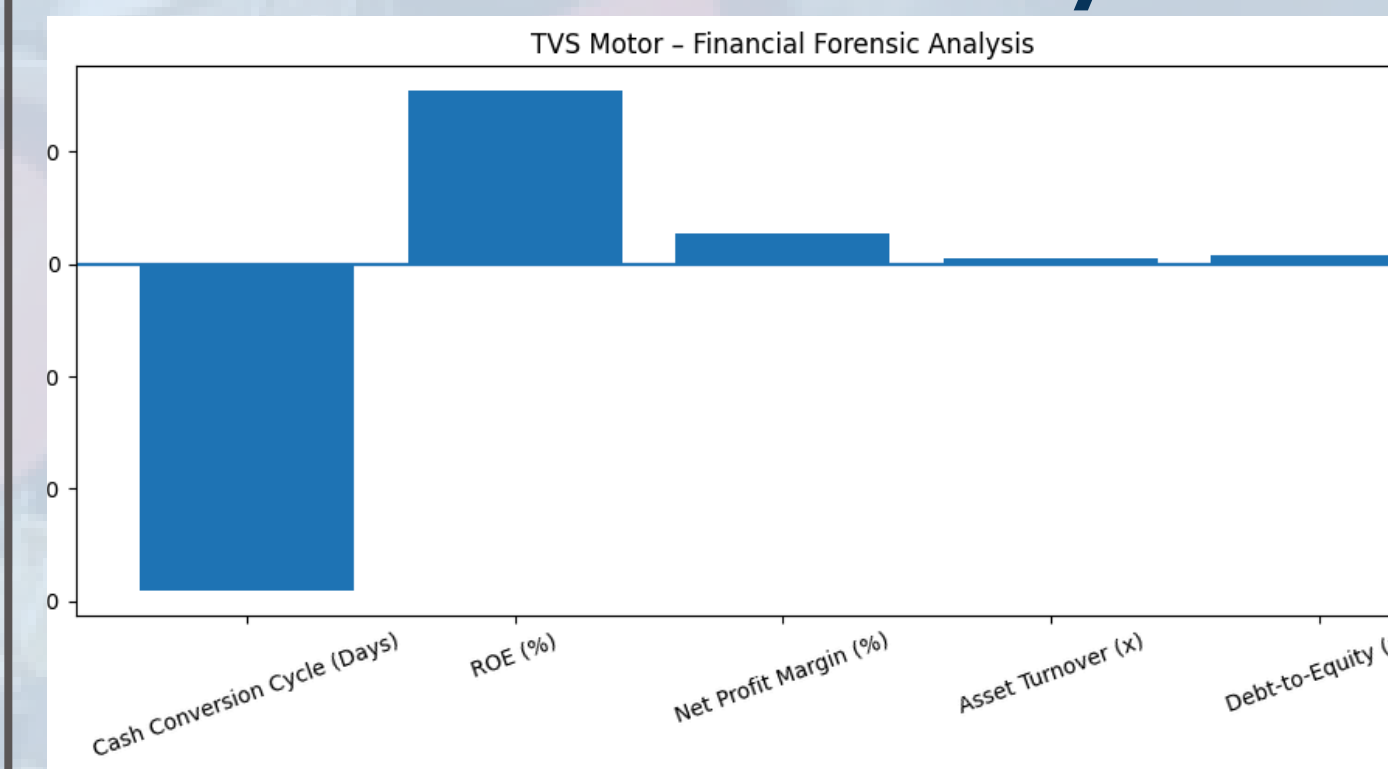
Graham Factor: 5 (Extreme premium reflects future innovation potential)

Monte-Carlo Prediction for 2026 fiscal cycle: Buy

Porter's 5 forces



Financial Analysis



10. Eternal Limited

Economic MOAT: Eternal’s moat is its "Hyper-Local Network Effect" and "Data Moat," operating in 800+ cities.

PESTEL Alignment: Impacted by gig economy labor protests but benefits from a 25% growth in online food delivery sentiment.

Financial Forensic Analysis

Earnings Quality: The company has just turned profitable, reporting a PAT of ₹527 crore in Mar 2025. However, rising debtor days and heavy reliance on other income remain watch points.

Cash Flow Conversion: A strong negative CCC of -54 days shows it collects cash from customers before paying restaurants.

ROE Sustainability (DuPont): ROE is low at 1.71%, but scaling high-margin businesses like Blinkit should lift returns as fixed tech costs spread over higher volumes.

ESG & Governance Audit: Assigned a high ESG rating of 77 (Leader) by NSE Sustainability.

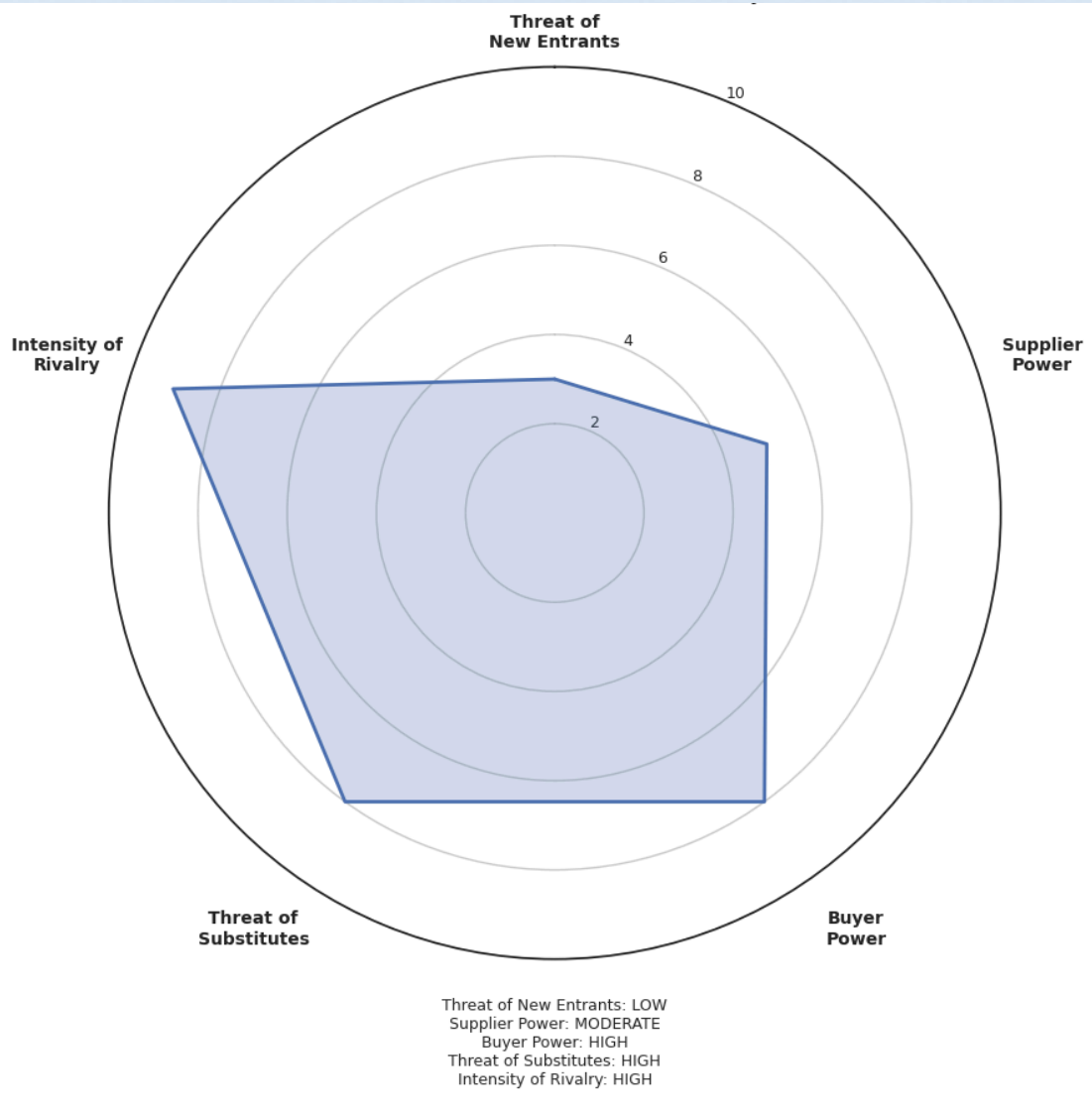
Piotroski’s F-Score: 6 (Moderate score reflects a shift from growth to profitability)

Altman Z-Score: 13.8 (Distress score skewed by past tech losses.)

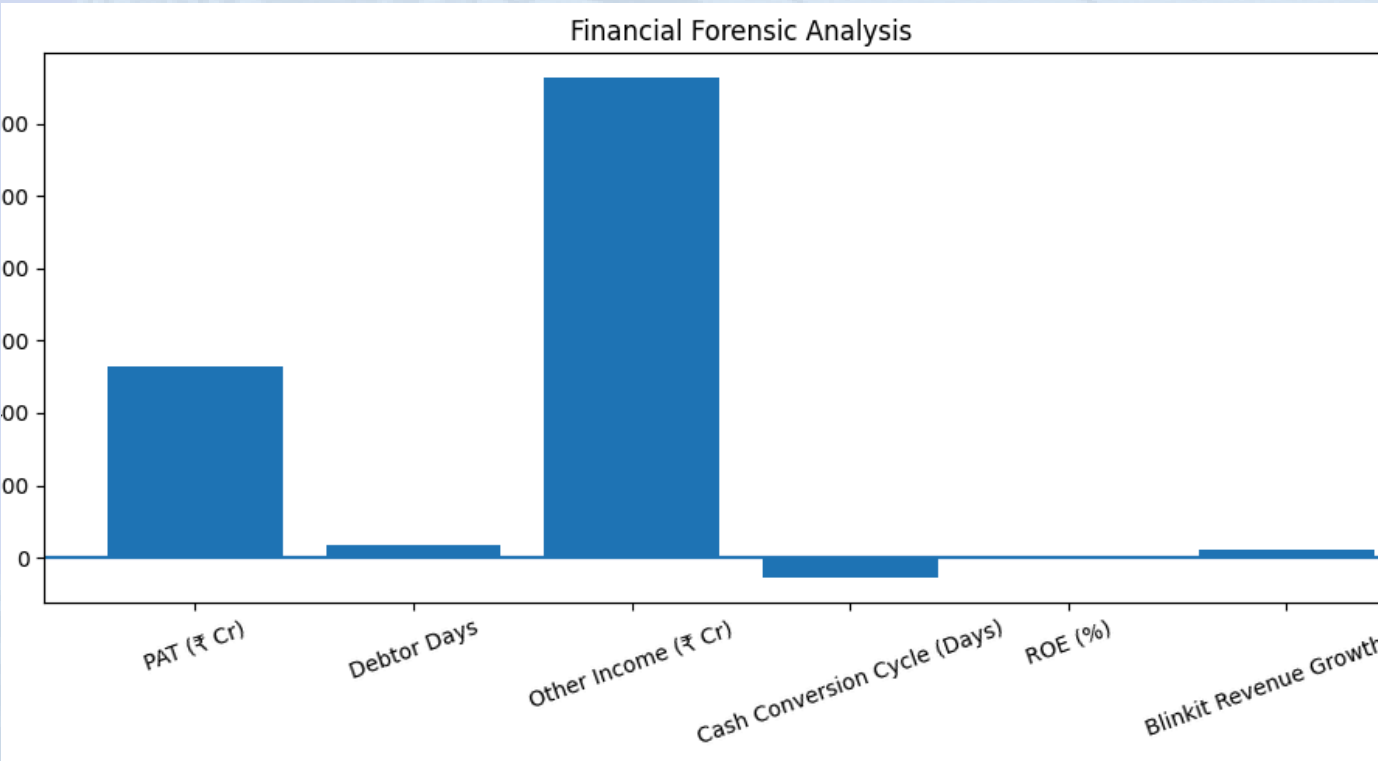
Graham Factor: 5 (Extreme premium reflects future innovation potential)

Monte-Carlo Prediction for 2026 fiscal cycle: Strong Buy

Porter’s 5 forces



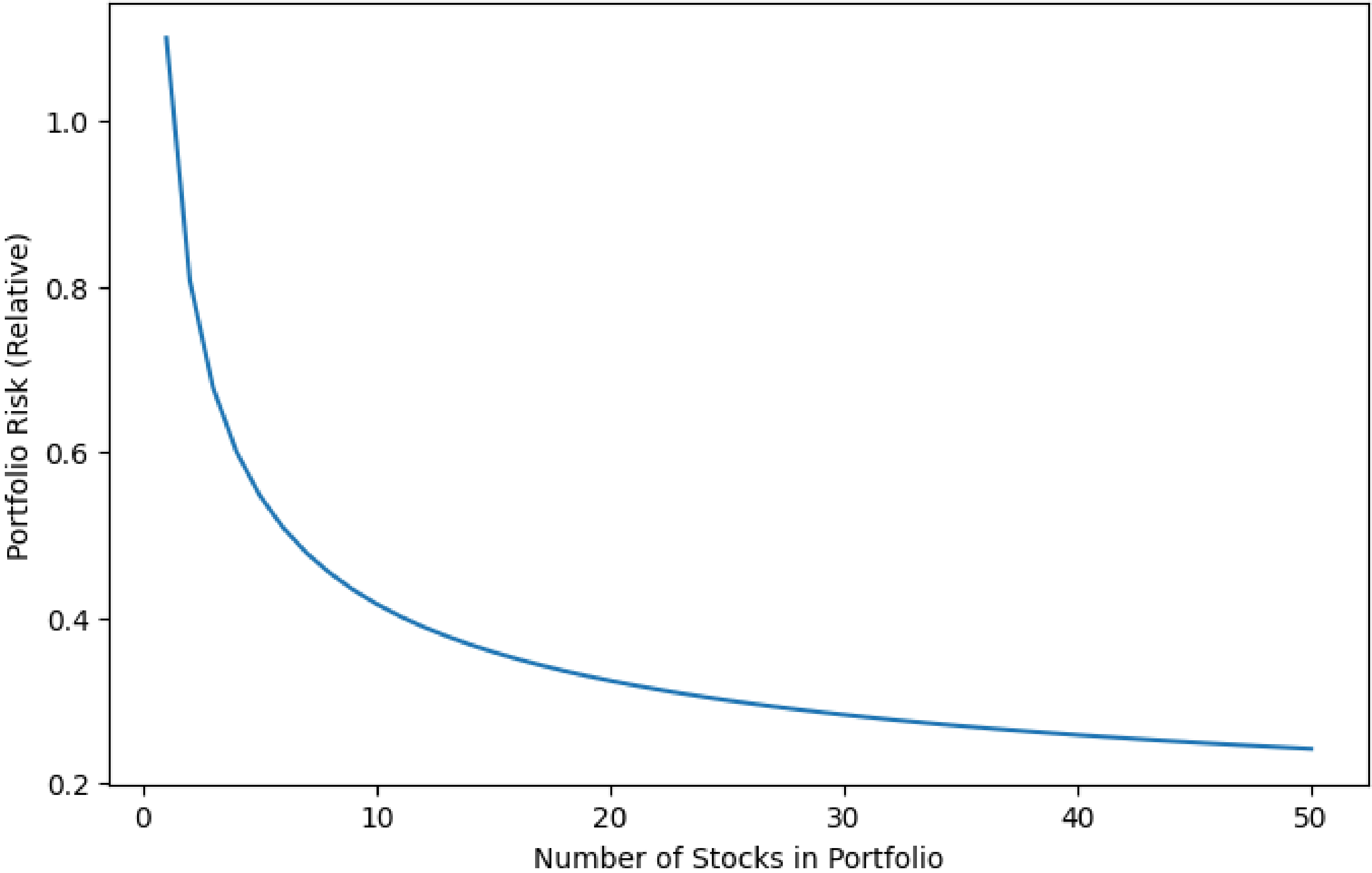
Financial Analysis



DIVERSIFICATION IS GOOD,BUT OVER OF IT ISN'T

WHY?

Why Over-Diversification Reduces Incremental Benefit



According to Modern Portfolio Theory, 90% of diversification benefits are achieved with **8–12** stocks; beyond this, portfolios become over-diversified, **reducing alpha** without meaningfully lowering risk.

Why Over-Diversification Reduces Returns?

Reason	Impact
Capital gets thinly spread	Winners don't move the portfolio
Index-like exposure	Returns converge to market average
Monitoring becomes impossible	Conviction & timing suffer
Transaction & opportunity costs rise	Net returns fall

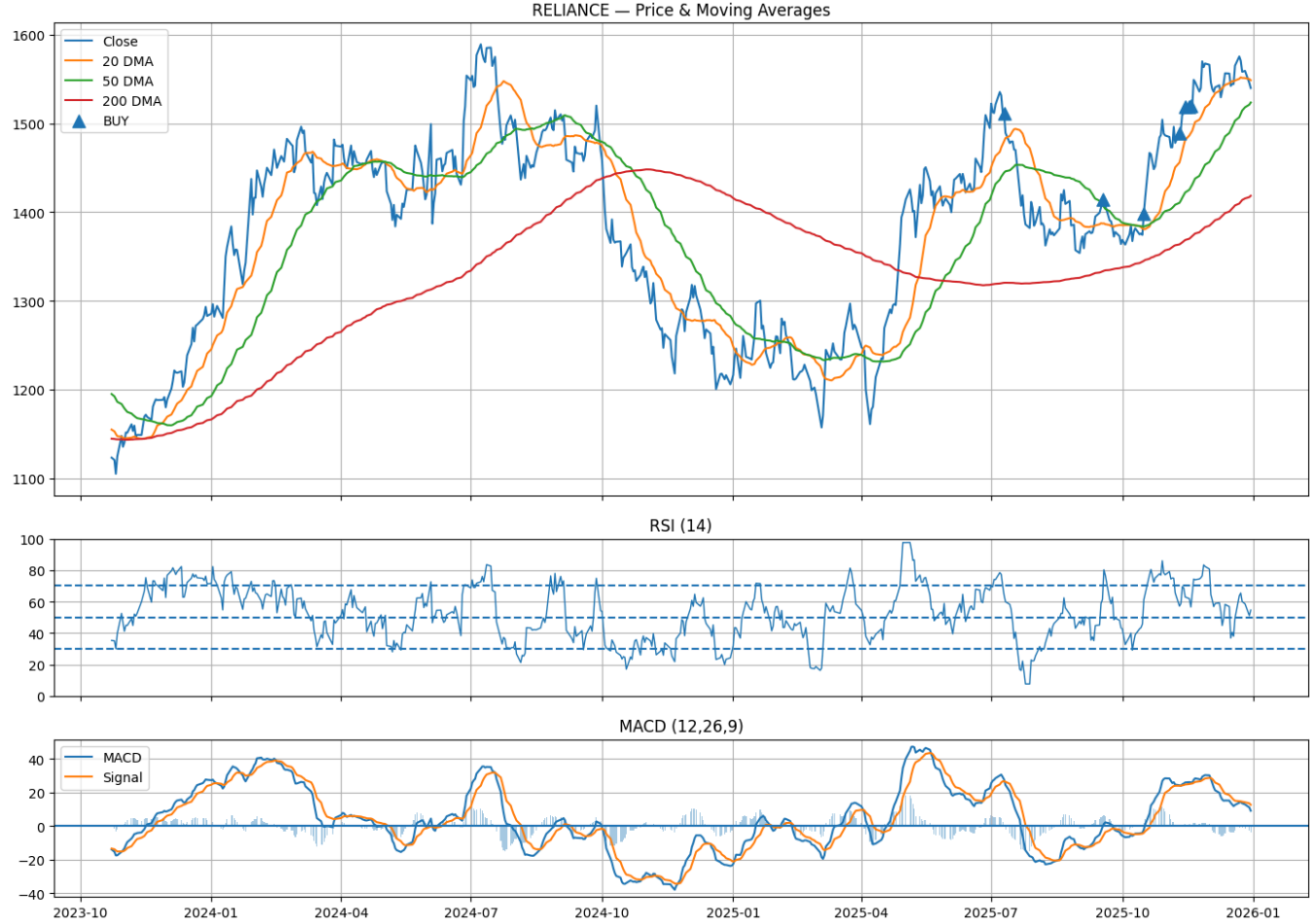
Modern Style

CAPITAL ALLOCATION WITH REASONINGS

Stock	% of Capital	Upside (1Yr)	Beta	Reasoning
Reliance Industries	15%	7.26%	0.88	High upside from new energy with defensive conglomerate stability.
HAL	15%	28.40%	0.44	Lowest volatility with monopolistic 26% ROE; a critical defense asset.
Larsen & Toubro	15%	7.23%	1.23	Moderate volatility backed by unmatched revenue visibility (₹5.79tn backlog).
ICICI Bank	15%	24.94%	0.27	Superior asset quality (0.39% NNPA); hedge against banking cyclicalities.
Titan	10%	4.11%	0.76	Captures premium consumption shift; 34.9% ROE drives growth.
Varun Beverages	10%	21.33%	1.07	High volume growth with integrated cost control.
TVS Motor Company	10%	-4.76%	1.00	EV transition play; negative CCC funds growth internally.
Eternal	10%	34.07%	1.45	High risk, high volatility; quick-commerce hyper-growth (Blinkit).

TECHNICAL INDICATORS WITH BUY CALL upto 1 Jan 2026

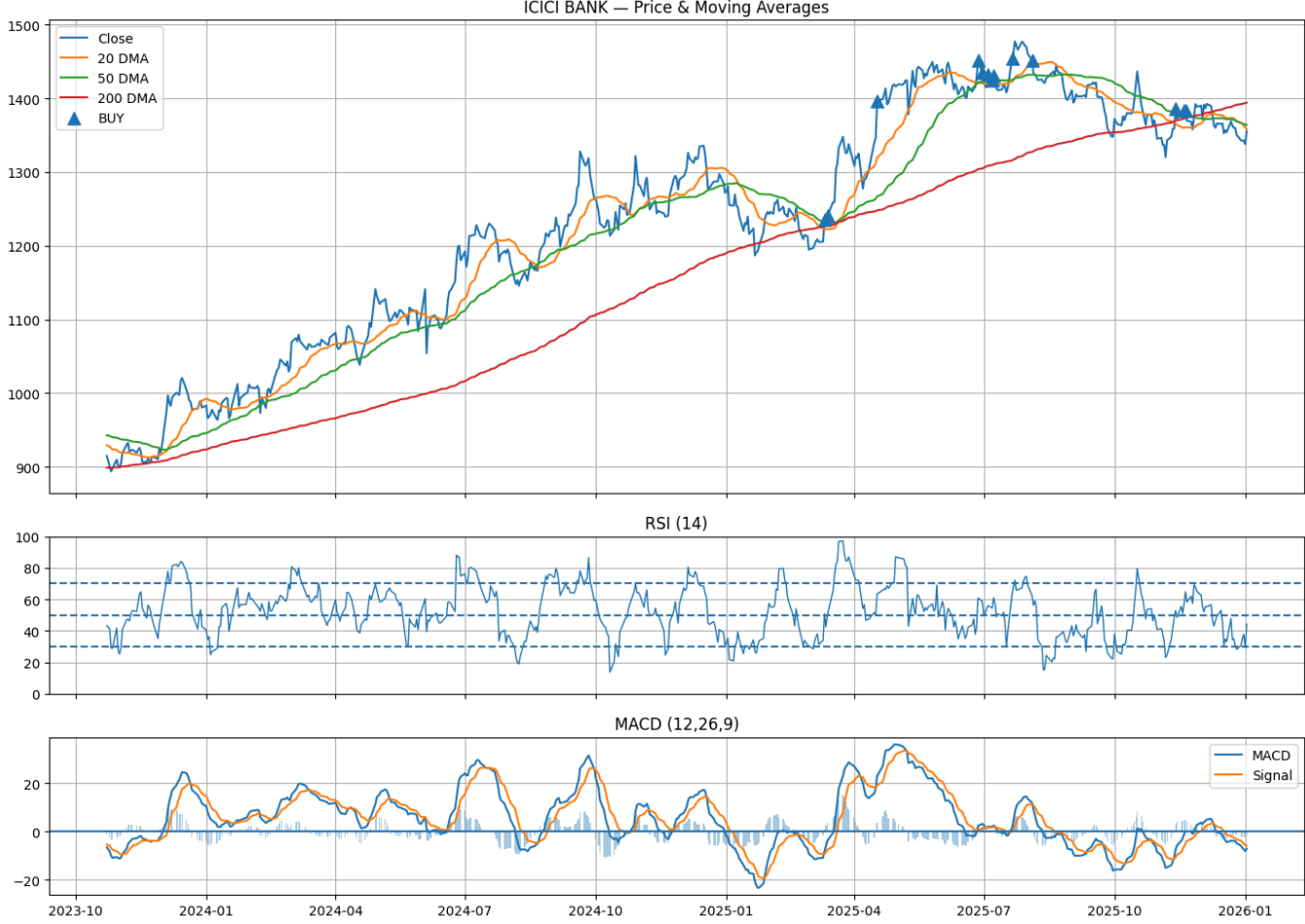
Reliance Industries



HAL



ICICI Bank



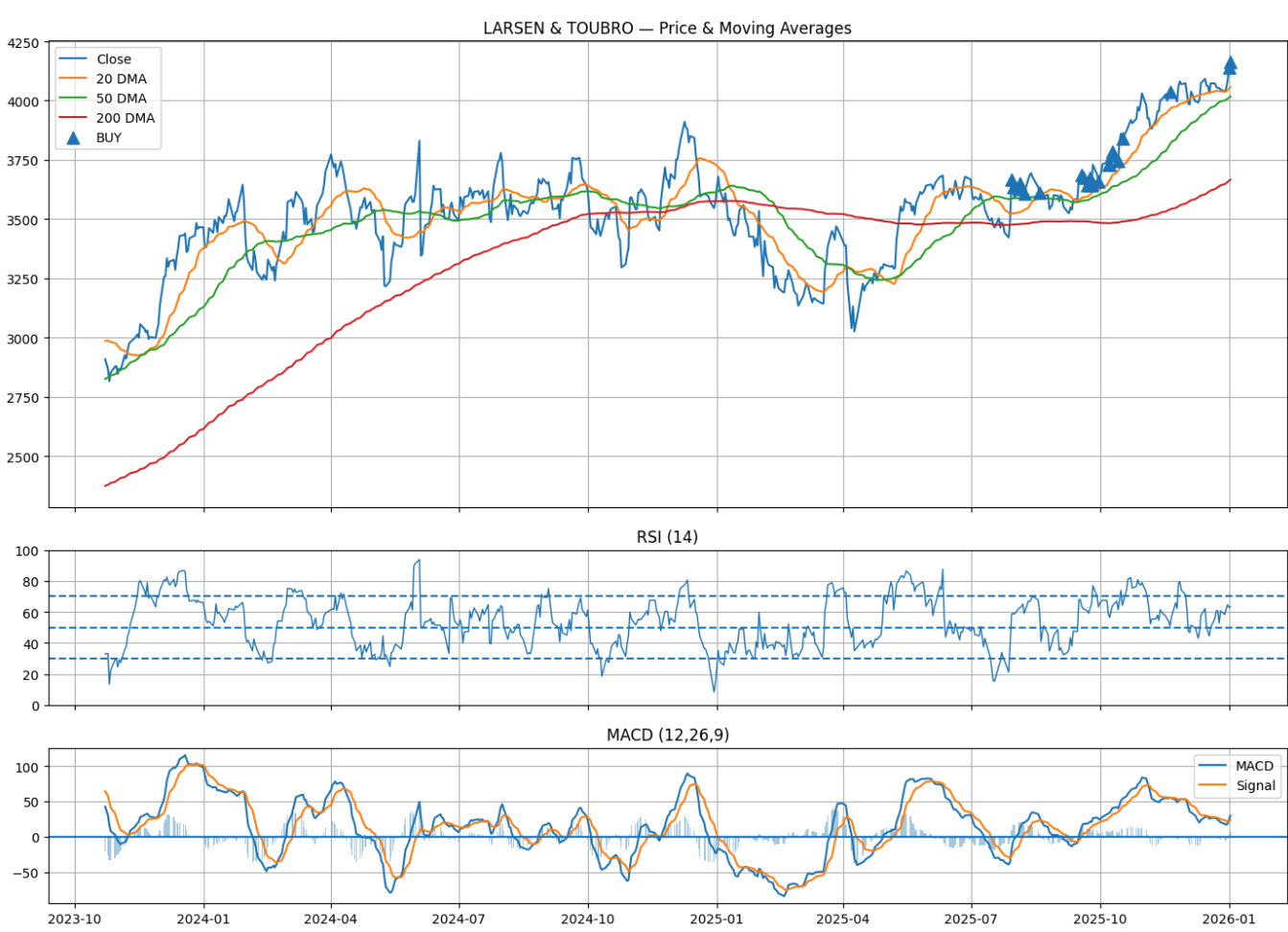
Titan Company



Varun Beverages



Larsen & Toubro



DCF ANALYSIS

1. Hindustan Aeronautics Limited *(Detailed DCF Link)*

Weighted Average Cost of Capital

All Figures are in INR unless stated otherwise

Peer Comps								
Name of the Comp	Country	Rs Cr. Total Debt	Rs Cr. Total Equity	Tax Rate ¹	Debt/ Equity	Debt/ Capital	Levered Beta ²	Unlevered Beta ³
Hindustan Aeronautics	India	11.4	2,97,872.4	26.00%	0.00%	0.00%	0.75	0.75
Bharat Electronics	India	58.9	2,94,584.0	26.00%	0.02%	0.02%	0.82	0.82
Bharat Dynamics	India	1.2	54,691.1	26.00%	0.00%	0.00%	0.87	0.87
Garden Reach	India	32.0	28,670.1	26.00%	0.11%	0.11%	0.95	0.95
Data Pattern	India	5.8	15,195.7	26.00%	0.04%	0.04%	1.05	1.05
Average				26.00%	0.04%	0.04%	0.89	0.89
Median				26.00%	0.04%	0.04%	0.92	0.92

Cost of Debt			Cost of Equity		
Pre-Tax Cost of Debt	7.00%		Risk Free Rate	6.48%	
Tax Rate	26%		Equity Risk Premium	7.46%	
Post Tax Cost of Debt	5.18%		Levered Beta ⁴	0.92	
			Cost of Equity	13.36%	

Capital Structure				Levered Beta	
		Current	Target	Comps Median Unlevered Beta	0.92
Total Debt	109.3	0.02%	0.04%	Target Debt/Equity	0.04%
Market Capitalization	6,91,013.4	99.98%	99.96%	Tax Rate	26%
Total Capital	6,91,122.7	100.00%	100.00%	Levered Beta	0.92
Debt/Equity		0.02%	0.04%	Weighted Average Cost of Capital	

Notes:
1. Tax Rate considered as Marginal Tax Rate for the country
2. Levered Beta is based on 5 year monthly data
3. Unlevered Beta = Levered Beta/(1+(1-Tax Rate)*(Debt/Equity))
4. Levered Beta = Unlevered Beta*(1+(1-Tax Rate)*(Debt/Equity))

Assumptions

- Valuation Framework & Horizon:** Firm Value DCF (FCFF, WACC) over a 10-year forecast, reflecting HAL’s excess cash, potential capital structure changes, and long-cycle defence contracts (8–15 years) with high order-book visibility.
- Growth & Terminal Assumptions:** Revenue growth of 9% (Years 1–5), tapering to 8% → 4% (Years 6–10), with a conservative terminal growth of 4%, capped below 5% in line with Indian PSU economics.
- Profitability & Reinvestment:** EBIT margin normalized from 35.36% to 28% over 3 years due to cost-plus pricing and government discipline; working capital at 1% of incremental revenue to reflect stable operations.

Forecasting (All figures are in INR (crores), unless stated otherwise)											
	Growth Rate ¹	Revenue	EBIT Margin	EBIT	Tax Rate	NOPAT	Depreciation	Capex	Change in Working Capital	FCFF Present Value of FCFF	
Year 0		32105.00	35.36%	11351.00	26.00%	8399.74	1424.00	1757.00			
Year 1	9%	34994.45	32.50%	11373.20	26.00%	8416.17	1552.16	1915.13	28.89	8024.30	7078.50
Year 2	9%	38143.95	30.00%	11443.19	26.00%	8467.96	1691.85	2087.49	31.50	8040.82	6257.04
Year 3	9%	41576.91	28.00%	11641.53	26.00%	8614.73	1844.12	2275.37	34.33	8149.16	5593.91
Year 4	9%	45318.83	28.00%	12689.27	26.00%	9390.06	2010.09	2480.15	37.42	8882.59	5378.69
Year 5	9%	49397.52	28.00%	13831.31	26.00%	10235.17	2191.00	2703.36	40.79	9682.02	5171.75
Year 6	8%	53349.32	28.00%	14937.81	26.00%	11053.98	2366.28	2919.63	39.52	10461.11	4929.28
Year 7	7%	57083.78	28.00%	15983.46	26.00%	11827.76	2531.92	3124.01	37.34	11198.33	4654.72
Year 8	6%	60508.80	28.00%	16942.46	26.00%	12537.42	2683.84	3311.45	34.25	11875.56	4354.40
Year 9	5%	63534.24	28.00%	17789.59	26.00%	13164.30	2818.03	3477.02	30.25	12475.05	4035.07
Year 10	4%	66075.61	28.00%	18501.17	26.00%	13690.87	2930.75	3616.10	25.41	12980.10	3703.57
Terminal Year	4%	68718.64	28.00%	19241.22	26.00%	14238.50	3047.98	3760.74	26.43	13499.31	
Terminal Growth Rate	4%										
WACC	13.36%										
ΔWCT=1%×(Revenuet–Revenuet–1)											
Terminal Value	144199.69										
Present Value of Terminal Val	41144.05										
Enterprise Value	92300.98										
Cash & Cash Equivalents	44471.00										
Debt	11.40										
Equity Value	136760.58										
No. of Outstanding Shares	66.88										
Intrinsic Share Price	2044.865204										

Valuation Snapshot (HAL):

It gives stock multiples of ₹1,938 (P/E multiple), ₹2,160 (EV/EBITDA multiple), and ₹2,014 (P/BV), averaging ₹2,037, in line with DCF at ₹2,045.

Conclusion: Strong convergence confirms a conservative, well-anchored valuation. HAL is fairly valued to mildly overvalued, with fair value at ₹1,950–₹2,200 and limited downside risk.

DCF ANALYSIS

2. Larsen & Toubro *(Detailed DCF Link)*

Weighted Average Cost of Capital								
All Figures are in INR unless stated otherwise.								
Peer Comps								
Name of the Comp	Country	Rs Cr. Total Debt	Rs Cr. otal Equity	Tax Rate ¹	Debt/ Equity	Debt/ Capital	Levered Beta ²	Unlevered Beta ³
Larsen & Toubro	India	1,34,001.1	5,57,557.4	25.00%	24.03%	19.38%	1.03	0.87
Rail Vikas	India	4,980.7	72,047.5	25.00%	6.91%	6.47%	1.44	1.37
NBCC	India	0.3	31,368.6	25.00%	0.00%	0.00%	0.87	0.87
IRB Infra Devi	India	20,851.6	25,653.7	25.00%	81.28%	44.84%	1.26	0.78
KEC International	India	5,308.0	19,765.3	25.00%	26.86%	21.17%	1.41	1.17
Average				25.00%	27.82%	18.37%	1.20	1.01
Median				25.00%	28.76%	18.12%	1.25	1.05
Cost of Debt								
Pre-Tax Cost of Debt		8.00%						
Tax Rate		25%						
Post Tax Cost of Debt		6.00%						
Capital Structure								
		Current	Target					
Total Debt		1,65,141.8	18.95%	18.12%				
Market Capitalization		7,06,392.5	81.05%	81.88%				
Total Capital		8,71,534.3	100.00%	100.00%				
Debt/Equity		23.38%	22.13%					
Notes:								
1. Tax Rate considered as Marginal Tax Rate for the country								
2. Levered Beta is based on 5 year monthly data								
3. Unlevered Beta = Levered Beta / (1 / (1 - Tax Rate) * (Debt/Equity))								
4. Levered Beta = Unlevered Beta * (1 + Tax Rate * (Debt/Equity))								
Cost of Equity								
Risk Free Rate				6.48%				
Equity Risk Premium				7.26%				
Levered Beta ⁴				1.25				
Cost of Equity				15.52%				
Levered Beta								
Comps Median Unlevered Beta				1.05				
Target Debt/Equity				22.13%				
Tax Rate				25%				
Levered Beta				1.22				
Weighted Average Cost of Capital								
				Total Cos		Total Weigh		
Debt				6.00%		19.38%		
Equity				15.52%		80.62%		
Weighted Average Cost of Capital						13.67%		

Assumptions

- **Valuation Framework & Capital Structure:** 10-year FCFF DCF using **WACC 13.67%**, with market-value weights of Equity 80% / Debt 20%, reflecting L&T’s capital-intensive EPC + infrastructure model, long-cycle projects, and investment-grade balance sheet.
- **Growth Assumptions:** Revenue growth starts strong at 12–10% (Years 1–3) driven by a robust order book and infra push, normalizes to 7–9% (Years 4–6), and tapers to 5–6.5% (Years 7–10) as scale effects set in; terminal growth fixed at 4%, aligned with nominal GDP and long-term infrastructure demand.
- **Margin Assumptions:** EBIT margins expand gradually from ~12.7% to ~15%, reflecting operating leverage and services mix improvement; margins converge to a sustainable long-run level, not compressed, as current margins are below historical norms (14–15%) and no structural cost pressure is assumed.

Forecasting (All figures are in INR (crores), unless stated otherwise)												
	Growth Rate ¹	Revenue	EBIT Margin	EBIT	Tax Rate	NOPAT	Depreciation	Capex	Change in Working Capital	FCFF	Present Value of FCFF	
Year 0		270723.00	12.70%	34381.82	25.00%	25786.37	4224.00	3541.00				
Year 1	12%	303209.76	13.00%	39417.27	25.00%	29562.95	4730.88	3965.92	324.87	30003.04		26393.87
Year 2	11%	336562.83	13.30%	44762.86	25.00%	33572.14	5251.28	4402.17	333.53	34087.72		26379.92
Year 3	10%	370219.12	13.70%	50720.02	25.00%	38040.01	5776.40	4842.39	336.56	38637.47		26304.01
Year 4	9%	403538.84	14.00%	56495.44	25.00%	42371.58	6296.28	5278.20	333.20	43056.46		25786.31
Year 5	8%	435821.94	14.30%	62322.54	25.00%	46741.90	6799.98	5700.46	322.83	47518.60		25035.27
Year 6	7%	466329.48	14.50%	67617.77	25.00%	50713.33	7275.98	6099.49	305.08	51584.75		23908.25
Year 7	6.5%	496640.90	14.70%	73006.21	25.00%	54754.66	7748.92	6495.96	303.11	55704.51		22711.96
Year 8	6%	526439.35	14.80%	77913.02	25.00%	58434.77	8213.86	6885.72	297.98	59464.92		21328.62
Year 9	5.5%	555393.51	14.90%	82753.63	25.00%	62065.23	8665.62	7264.43	289.54	63176.87		19934.15
Year 10	5%	583163.19	15.00%	87474.48	25.00%	65605.86	9098.90	7627.65	277.70	66799.41		18541.72
Terminal Year	4%	606489.72	15.00%	90973.46	25.00%	68230.09	9462.86	7932.76	233.27	69526.93		
Terminal Growth Rate	4%											
WACC	13.67%											
ΔWCT=1%×(Revenue _t –Revenue _{t–1})												
Terminal Value	718103.10											
Present Value of Terminal Value	199326.14											
Enterprise Value	435650.22											
Cash & Cash Equivalents	44471.00											
Debt	11.40											
Equity Value	480109.82											
No. of Outstanding Shares	137.50											
Intrinsic Share Price	3491.71											

L&T Valuation Snapshot:

DCF: ₹3,492 (10-year; ~15% EBIT, WACC 13.67%, g = 4%).

Relative: ₹3,443 avg (P/E ₹3,404, EV/EBITDA ₹3,564, P/BV ₹3,360).

Conclusion:

Strong convergence implies a fair value of ₹3,300–₹3,700, indicating fair valuation with stable long-term compounding.